

Our Staff

Anne Maina • Anne Maria Makhulo • Anne Muindi • Anne Nyambura • Anthony Omwenga
Beatrice Wanjiru • Bilha Gitonga • Caroline Chepkwony • Carolyne Chegero • Catherine Kamau
atherine Maandu • Catherine Olaka • Cecilia Ndungu • Christine Wainaina • Damaris Kyenze
Daniel Njuguna • David Muchungu • Edward Gaceru • Edwin's Gor • Eliud Kariuki • Emelda
Kimaita Emma Wachira • Faith Mbiyiwe • Festus Okello • Francis Ogwel • Frederick Maina •
Fridah Gitonga Gideon Musyoka • Gladys Kairu • Grace Imbwaga • Grace Karanja • Gwen
Njiru Ibrahim Ololo • Isaiah Wachira • James Dome • James Muiruri • Jane Riungu • Jane Ntutu
Janice Muthoni • Jennifer Kariuki • Jennifer Nzuki • Joan Kaari • John Wainaina • Joseph
Wamwea osinta Obonyo • Lamech Oten • Lea Chiko • Linda Were • Livingstone Mutiso • Loice
Shighuri ucy Munjuga • Lucy Mwaniki • Luke Magambo • Margaret Nyambura • Martin Nzomo
Martin Omido • Mary Kiarie • Maureen Kiugu • Maureen Mathenge • Mercy Gikunda Mercy
Kabangi • Mercy Mathenge • Nancy Ngari • Nelson Kabau • Nita Gichure • Patrick Kithi
Patrick Olale • Penny Njuguna • Peter Mbiyiwe • Peter Mugo • Phillip Mbae • Phoebe Ondieki
us Kitela • Priscilla Thuo • Priscilla Kimari • Priscillah Maina • Rachel Njoroge • Rita Waweru
Rosa Gitonga • Ruthie Njika • Samson Mwangi • Samuel Kuyoh • Samuel Mbaabu • Samuel
Waweru Sarah Maweu • Shifrine Simwa • Stephen Chabari • Stephen Kamanda • Susan Kimani
• Tom Gitogo William Kariithi • Winnie Mwaranganya



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PAN AFRICA INSURANCE
HOLDINGS LIMITED

Annual Report & Accounts

2008

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We see into the future
so your life can be
more rewarding.

We have foresight that enables us
to provide dynamic solutions that
protect and enhance your life.

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We understand the senses. Hear. See. Smile. Touch. Taste
We believe we possess a greater sense, one that encompasses these
all, but improves on each, a unifying factor that develops from their
synergy: a sense for life.

Our Sense

It is this sense for life, that motivates us to serve you better. This sense for
life causes us to deepen
our relationship with you personally.
More than just a sixth sense, this represents the dreams we share and
the values that hold us together.

At Pan Africa, our connection to you is one beyond the senses. With our
5 products: Flexi Annuity, Flexi Educator Flexi Saver, Kinga Halisi and
Family Finance.

We believe that, just like the senses, our relationship with you is greater
than just your policy. We're flexible, available and willing to keep our
relationship going with you.







Five Year group Review

Profit and loss account (KShs million)

	2004	2005	2006	Restated 2007	2008
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Investment return	194	219	404	422	135
Operating profit before income tax	91	175	451	152	175
Profit/ (loss) attributed to shareholders	93	176	425	162	(90)
Dividends	48	58	69	76	-

Long term insurance business:

Gross premium income	941	1,169	1,397	2,070	2,510
Net premium income	790	1,031	1,248	1,834	2,318
Policyholder benefits paid	580	845	951	1,424	1,631

Balance sheet:

Shareholders' funds	799	931	1,303	1,399	1,198
Long term business funds	1,786	2,196	2,402	3,237	3,694
Share capital	240	240	240	240	240
Total assets	3,045	3,696	4,684	5,901	6,250

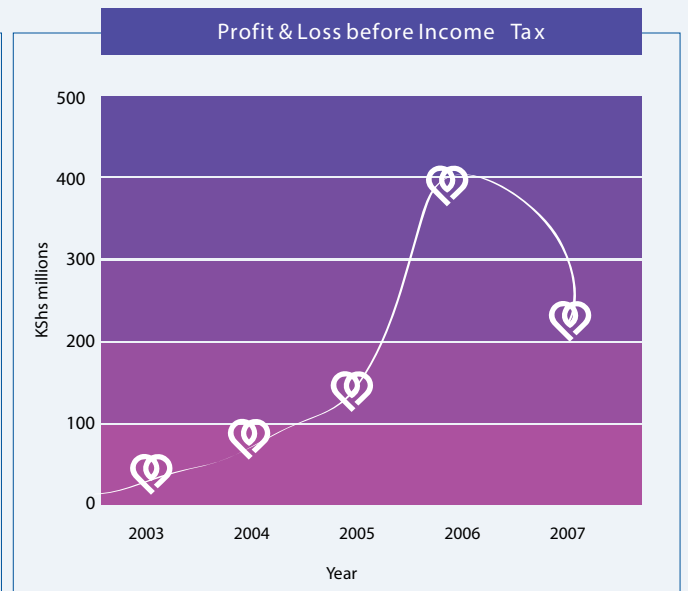
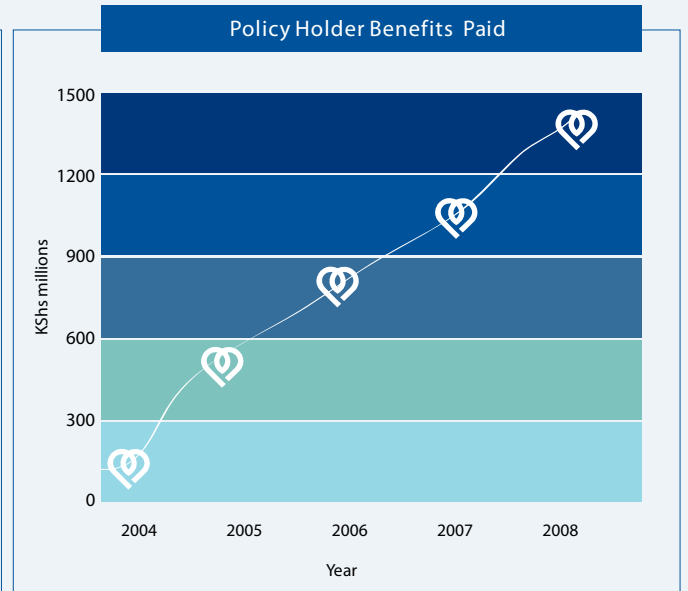
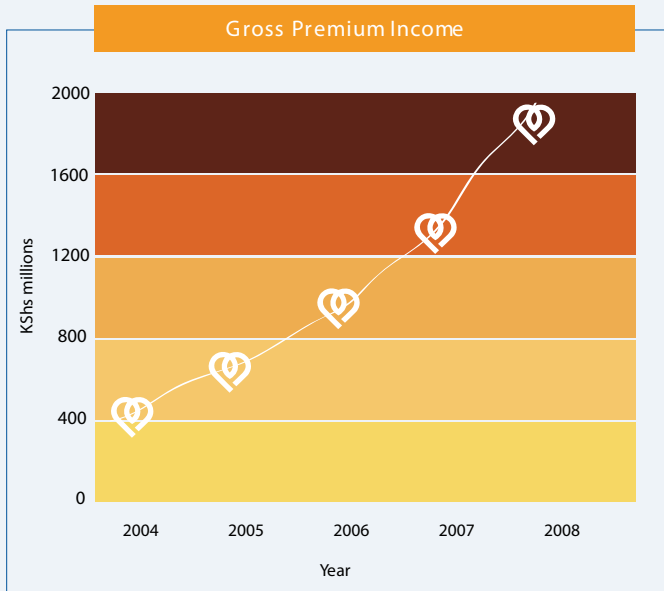
Key indicators:

Basic earnings/ (loss) per share	1.95	3.68	8.87	3.38	(1.88)
Dividends per share	1.00	1.20	1.44	1.60	-
Market capitalisation at year end Ksh. M.	1,032	1,920	4,392	4,776	2,976

Company share prices at the NSE:

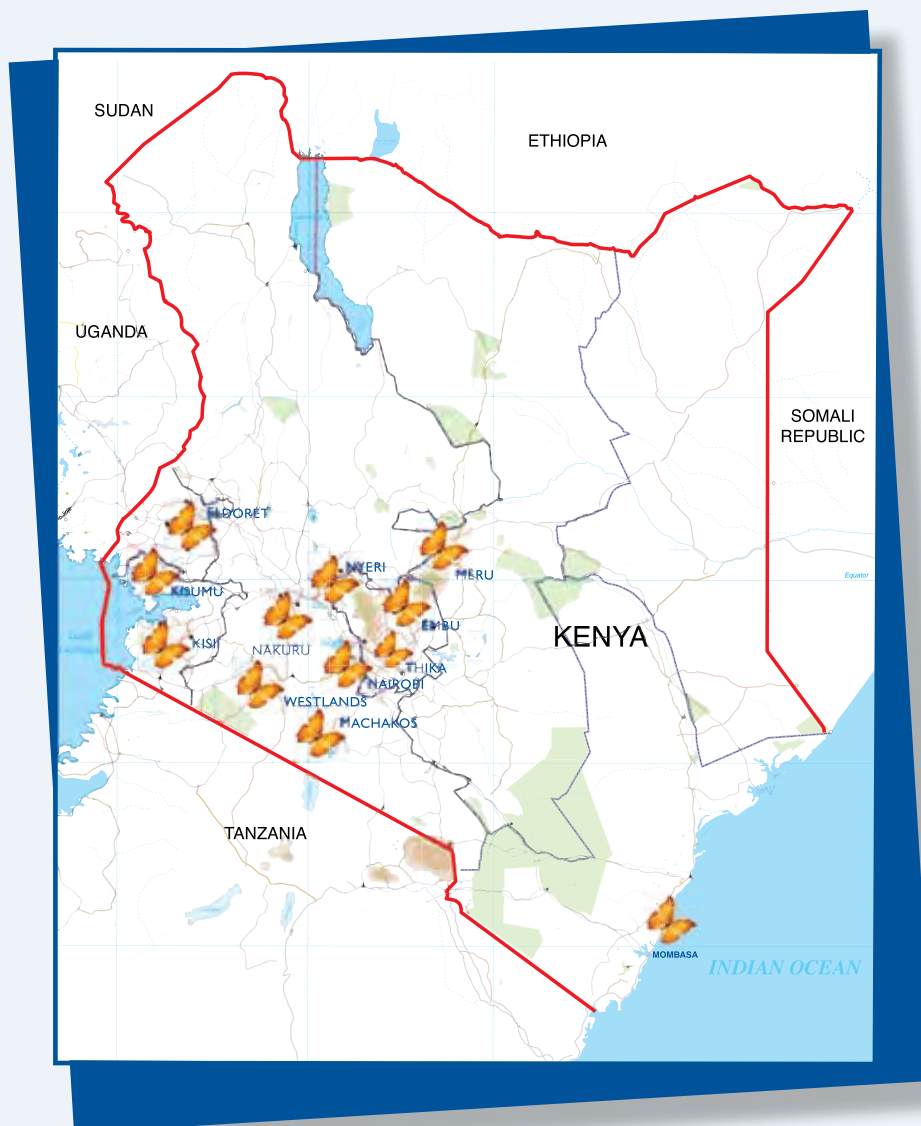
High	35	42	100	122	99
Low	18	22	34	75	62
Share price at year end	22	40	92	100	62

Five Year group Review





Branch Offices



- Eldoret • Embu • Kisii • Kisumu • Machakos • Meru
- Mombasa • Nairobi City Centre • Nairobi Mega
- Nakuru • Nyeri • Naivasha • Thika • Westlands
- And more to come...

Report of the Directors

The Directors submit their report together with the audited financial statements for the year ended 31 December 2008 which disclose the state of affairs of the Company and its subsidiaries. **Incorporation**

The Company was incorporated in Kenya on 26 October 1946 under certificate of incorporation number C.10/46 under the Companies Act (Chapter 486 of the Laws of Kenya) and is domiciled in Kenya.

Principal Activities

The principal activity of the Group through its subsidiary Pan Africa Life Assurance Limited is the underwriting of all classes of long-term insurance business as defined by the Insurance Act (Chapter 487 of the Laws of Kenya), with the exception of industrial life insurance. The Group has interests in a wholly owned investment company PA Securities Limited, and an associate general insurance company, APA Insurance Limited.

Results

The results of the year are set out on page.....of this Annual Report. The profit for the year of(2007: KShs 201,072,000) has been added to the retained earnings.

Dividends

Subject to the approval of the shareholders, the Directors will not recommend the payment of a dividend at the 63rd Annual General Meeting of the Company.

Financial Risk Management Objectives and Policies

The activities of the Company and its subsidiaries expose it to a variety of financial risks, including underwriting risk, credit risk and the effects of changes in debt and equity market prices, and interest rates. Therefore the risk management programme focuses on the identification and management of risks and seeks to minimise potential adverse effects on its financial performance. These include the use of underwriting guidelines and capacity limits, reinsurance planning, credit policy governing the acceptance of clients, and defined criteria for the approval of intermediaries and reinsurers. Investment policies are in place to enable optimal liquidity management and to maximise returns within an acceptable level of risk.

Directors

The Board of Directors who served during the year and up to the date of this report are:

- 1) John P N Simba (Chairman)
 - 2) Tom Gitogo (Chief Executive) (Appointed 1 April 2008)
 - 3) John A Burbidge (Resigned 21 May 2008)
 - 4) Margaret M Dawes
 - 5) James N Gitoho
 - 6) Norman J Kelly (Appointed 21 May 2008)
 - 7) Balobhai Patel
 - 8) Douglas N Lacey (Resigned 31 March 2008)
 - 9) William R Dommisie
- Balobhai Patel having attained the age of seventy years, retires in terms of Section 186 (2) of the Companies' Act (Cap 486), and being eligible by virtue of a Special Notice given under section 186(5), offers himself for re-election.
 - In accordance with the Company's Articles of Association, Margaret Dawes retires by rotation at the forthcoming Annual General Meeting and he will not offer herself for re-election.
 - In accordance with the Company's Articles of Association, Tom Gitogo retires this being the first Annual General Meeting to be held since his appointment and being eligible, offers himself for re-election.
 - In accordance with the Company's Articles of Association, Norman J Kelly retires this being the first Annual General Meeting to be held since his appointment and being eligible, offers himself for re-election.

Auditors

The Group's auditors, Ernst & Young, have indicated their willingness to continue in office in accordance with Section 159 (2) of the Companies Act (Chapter 486 of the Laws of Kenya)

By Order of the Board

Emma Wachira

Company Secretary

.....March 2009



Profile of Directors

TOM GITOGO (40)

Appointed as Chief Executive on 1 April 2008

Occupation: Insurance Executive

Professional Qualifications: CPA (K), CPS (K), ACA

(England & Wales) Skills: MBA (Strategic Management),

Bachelor of Science (Civil Engineering)

NORMAN J KELLY (41)

Appointed 1 July 2007 Occupation: Actuary – Sanlam

Developing Markets – Rest of Africa Skills: Bachelor of

Science Degree in Mathematical Statistics and Actuarial

Sciences, University of Witerwatersrand Professional

Qualifications: Fellow of the Institute of Actuaries (UK),

Fellow of the Actuarial Society of South Africa

BALOOBHAI PATEL (70)

Appointed to the Board in December 2001

Occupation: Managing Director, Transworld Safaris

Limited Relevant Directorships: Pan Africa Life

Assurance Limited, and subsidiaries in the Pan Africa

Insurance Group of Companies



Profile of Directors

JAMES GITOHO (53)

Appointed to the Board in December 2001

Occupation: Architect Professional Qualification: Registered Architect Relevant Directorships: Pan Africa Life Assurance Limited and subsidiaries in the Pan Africa Insurance Group of Companies

JOHN P N SIMBA (64)

(Chairman)

Appointed to the Board in December 2001

Appointed as Chairman in March 2002

Occupation: Lawyer, Partner in Simba & Simba, Advocates Professional Qualification: Advocate of the High Court of Kenya Skills: Bachelor of Law (University of Dares-Salaam) Other Relevant Chairmanships: APA Insurance Limited Relevant Directorships: Pan Africa Life Assurance Limited and other subsidiaries within the Pan Africa Insurance Group of Companies.

ROBERT DOMMISSE (40)

Occupation: General Manager

- Structural Growth at Sanlam

Limited Professional Qualifications:

Chartered Accountant (SA) Skills: MBA (Stellenbosch University)

MARGARET DAWES (52)

Appointed to the Board in March 2005

Occupation: Group Financial Director, Sanlam Developing Markets Professional Qualifications: ACA (England & Wales), Chartered Accountant (SA) Skills: Higher Diploma in Tax Law (University of the Witwatersrand) Relevant Directorships: Sanlam Developing Markets, Pan Africa Life Assurance Limited and a number of subsidiaries within the African Life Group of Companies.



We listen and develop solutions according to your life needs.



PAN AFRICA LIFE

We have a sense for Life

We keep our collective ear to the ground all over the region to ensure that our products meet and exceed your every requirement.



Chairman's Statement



It gives me great pleasure to present to you the results of the Pan Africa Group for the financial year ended 31 December 2007.

We have had another successful financial year resulting in the growth of our production volumes and premiums.

Global Economy

The IMF World Economic Outlook estimates the 2007 Global Economic Growth to have declined by 0.1% to 4.9% (2006: 5.0%). The decline in global economic growth is mainly attributable to financial market strains in the USA thus leading to a 0.7% decline in United States GDP growth of 2.2%. The emerging markets and developing economies (incorporating Africa) grew by 0.1% while developing Asia remained stable at 9.6%. China continued to show a robust growth of 11.4%.

Inflation has been on the increase since mid 2007 in both advanced and emerging market economies. In order to manage inflation, Central Banks in the emerging economies, where food and energy represent a higher share of consumption baskets, have reverted to tighter monetary policy.

Co-ordinated central banks operations, together with the rate cuts have helped ease liquidity tensions in the interbank market; however, strains persist and term premiums are expected to remain elevated for sometime. This is mainly because term premiums reflect wider problems in financial systems such as credit deterioration, counterparty mistrusts and balance sheet pressures. Credit and market risks continue to rise while global macroeconomic outlook looks less favourable. Against this background, the IMF projects a decelerated global growth of 4.1% in 2008.

African Economy

The African Economy is estimated to have grown at 6.0% (2006: 5.8%). The positive growth in the African Economy shows that the Sub Saharan economies are able to withstand external shocks against effects of global financial turbulence. Despite this, the lower global growth, higher oil prices and ongoing conflicts continue to constrain the expected growth.

The real GDP growth is fuelled by growing oil production, rising domestic investment and productivity. Solid global demand for commodities, greater inflows of capital to Africa, and debt relief have helped to accelerate growth.

Strengthened macroeconomic policies and structural reforms initiated in the 1990's have begun to bear fruits as armed conflicts and political instability become less frequent. The Sub Saharan Africa has started to witness increased financial inflows from emerging creditors, particularly China, in the form of largely project assistance and export credits.

Assuming macroeconomic policies hold firm, the GDP for Africa is expected to continue to grow in 2008 though, despite sound economic fundamentals, the continent will continue to face risks arising from inflationary pressures mainly arising from oil prices. If high oil prices are accompanied by a stronger slowdown in major commodity exports, then, the effect on 2008 GDP growth could be adverse. The inherent risk of internal conflicts in various parts of Africa could compromise this growth further.

Kenyan Economy

The economy grew by approximately 7% in 2007. The NSE share index



Chairman's Statement

fell by 3.6% during the year to close at 5,444 on 31 December 2007. Interest rates remained stable during the year while the 12 month average annual overall inflation dropped from 14.45% in December 2006 to 9.76% in December 2007. The Kenya Shilling remained relatively strong throughout the year gaining 9.1 points against the US Dollar.

Business Environment

The estimated GDP growth of 7.0% is supported by robust expansion of all key sectors of the Kenyan Economy. The Agricultural sector showed strong recovery as all major crops recorded improved output over the year. Leading products in the Manufacturing sector mainly beer, cigarettes and soda have shown greater vibrancy in the sector as they recorded growth of 34%, 17% and 2% respectively against the eight month comparatives in 2006. Cement production increased by 10% signalling increased activity in the building and construction industry within those eight months.

The tourism sector recorded another robust year; arrivals were up 14% to 779,567 visitors for the period to September 2007 while occupancy rates remained high over the year. The now resolved December 2007 election controversy has however adversely affected this sector in 2008. The effects of insecurity are likely to take time to clear.

The Central Bank remained very pragmatic in its monetary policy as open market operations were widely used to control distortions in interest rates.

The NSE continued to be fairly active with market corrections ending in January 2008. Only two new listings were recorded in the year while volume traded was reduced as compared to the previous year.

Insurance Industry

In the 2007/2008 budget, the Minister for Finance proposed the tripling of the paid up capital of insurance companies over the next 3 years. Composite insurance companies will be required to hold paid up capital of KShs 450 million up from the current KShs 150 million while long term insurance business will increase from KShs 50 million to KShs 150 million. Insurers carrying out general insurance business will need to increase their paid up capital from KShs 100 million to KShs 300 million.

As a number of insurance companies do not meet the proposed requirements, it will be interesting to see what actions they will take in order to enable them comply. Consolidations, mergers and acquisitions may be in vogue over the next 3 years leading to a reduction in the number of players in the market. With fewer players, focus is likely to shift towards more product innovation, professionalism and client needs away from wasteful competition that has resulted in premium rate reductions.

2007 saw the establishment of the Insurance Regulatory Authority. We trust that this coupled with the review of the Insurance Act will result in more growth, increased awareness and lead to a marked improvement in the industry governance and regulation.

Group Performance

During the period under review, life business premiums grew by 48% to over KShs 2 billion. However, the high growth in premiums did not translate into higher after tax profits mainly due to new business strain (New business strain results from the significant initial costs associated with the acquisition of new business, all of which are expensed in the year of acquisition, and hence leading to a strain on income).

Market capitalization of Pan Africa Insurance Holdings Limited shares at the NSE improved by 9% over the year to reach KShs 4.8 billion (2006: KShs 4.4 billion).

However, Basic Earnings per share at KShs 4.19 (2006: KShs 8.87) has been affected mainly by new business strain.

In spite of the depressed after tax profits arising out of the reasons given above, we are of the view that in the circumstances these were good results.

Dividend

In keeping with our policy on dividend payment, the Board of Directors will recommend to the shareholders at the 62nd Annual General Meeting that the Company declares a first and final dividend of KShs 1.60 per share payable to shareholders appearing in the Register of Members by close of business on 21 May 2008. Upon approval by the shareholders, the dividend cheques will be posted from 9 June 2008.

Reporting Standards

To enhance accountability, corporate governance and disclosures, the Group, during 2007 continued to conform to the various international and Group standards for reporting including:

- Financial Reporting: In accordance with the International Financial Reporting Standards;
- Risk Management Reporting: In accordance with the standards and guidelines of the Audit & Risk Committee;
- Corporate Governance Reporting: In accordance with the CMA's 'Principles of Corporate Governance' and other statutory/regulatory requirements;
- Subsidiary/Associated Companies/Board Committees report: every quarter to the holding company, Pan Africa Insurance Holdings Limited.

Statement of Corporate Governance

Our Annual Reports consistently contain our statement of corporate governance. As a publicly listed company, Pan

Chairman's Statement

Africa complies with the Capital Markets Authority 'Guidelines on Corporate Governance'. The Group is also part of the African Life Assurance Company Limited Group which has shared its knowledge and experience in this area. The Board of Directors has taken upon itself to adopt even more stringent corporate governance standards as demanded by the nature of our business.

Financial Reporting (FiRe) Awards

In 2007, Pan Africa Insurance Holdings Limited was awarded the runners up position in Corporate Governance based on our published accounts for the year ended 31 December 2006. The award is jointly sponsored by the Institute of Certified Public Accountants of Kenya, the Capital Markets Authority and the Nairobi Stock Exchange. Since the inception of the awards in 2000, the Group has continued to win a FiRe Award every year. This is a manifestation of the Group's continued focus on professionalism, transparency and excellence in financial reporting.

Pride of Sanlam Developing Markets (SDM) Competitions

The Sanlam Developing Markets runs three competitions namely:

- Quarterly Competition (Leopard Award): For the sales channel achieving more than 115% of the budgeted Annual Premium Equivalent (APE) for the quarter.
- Half yearly Competition (Cheetah Award): For competing business that achieves more than 115% of budgeted APE.
- Intercompany/Intercountry Competition: This competition allows companies operating in different countries/ regions but within the SDM to compete against each other based on the Annual Premium Equivalent and Value of New Business. The actual operating profit is also compared to the budgeted operating profit for a company to qualify.

In 2007, Pan Africa Insurance Holdings Limited won the Leopard award three times and the Cheetah award twice. These awards demonstrate the determination by the Pan Africa Insurance Holdings Limited staff and its business associates to give good business value to its stakeholders.

Changes to the Board

Joshua Kituri resigned from the Board in June 2007 while Douglas Lacey returned to the Board in July 2007. As the Divisional Chief Executive of the Rest of Africa, Douglas brings to the Board significant expertise and experience in life insurance. Heinie Werth also resigned at the end of 2007 and was replaced by his former alternate director William Dommissie. Sharon Maviala, the Group Company Secretary also left the Group to pursue other interests outside the country. She has been replaced by Emma Wachira.

Future Outlook

In 2008, the Group intends to concentrate on all aspects of the business, with a focus on business growth and branch network expansion. The Group is undertaking branch expansion and we plan to roll out more branches in various parts of the country in a bid to provide the business with the additional leverage required for improved sales in 2008.

Notwithstanding, the sad events ushered in by the disputed December 2007 presidential poll, which affected our life insurance operations during the early part of 2008, we expect to achieve significant growth in 2008 particularly given the positive developments in the political arena. We are confident that the prospects for the Group business in 2008 remain bright. We are optimistic that the economy will register a positive growth resulting in stable interest, exchange and inflation rates throughout the year.

Note of Appreciation

On behalf of the Board of Directors, let me take this opportunity to express my gratitude to Joshua Kituri and Heinie Werth for their contribution to the development of our business strategy in addition to offering, at board and other meetings, options on how to address various challenges inherent in our business. We wish them every success in all that they choose to undertake. To my other colleagues on the board, I thank them for their wise counsel, commitment in attending and actively participating at Committee and Board meetings. To Management and staff members, I thank them for their loyalty to the Group, exemplary service and continued commitment to the business all of which have positively impacted on the Group's performance. However let me hasten to add that we operate in a competitive environment where innovation, customer satisfaction and efficiency will carry the day. What is done well today is capable of being done better tomorrow. Let us continue to raise the bar. I pay tribute to our customers and to all those we do business with for their support which has continued to sustain us in business. To our shareholders, I thank them for the confidence they have continued to demonstrate in the Group. The results we have achieved this year is a team effort from everyone concerned. Once again, thank you all.

John P N Simba, MBS OGW

Chairman

4 March 2008



Notice of the Annual General Meeting

NOTICE IS HEREBY GIVEN that the 63rd Annual General Meeting of the Company will be held at the Tsavo Room, Hilton Hotel, Mama Ngina Street, Nairobi on Wednesday, 27 May 2009 at 10.00 am to conduct the following business:

- To table the proxies and note the presence of a quorum.
- To read the notice convening the meeting.
- To confirm the minutes of the previous Annual General Meeting held on 21 May 2008.
- To consider, and if approved, adopt the Balance Sheet and Accounts for the year ended 31 December 2008 together with the reports of the Chairman, the Chief Executive, the Directors, the Auditors and the Statutory Actuary.
- To note that the directors do not recommend the payment of a dividend in respect of the financial year ended 31 December 2008.
- To elect directors:
 - 6.1 Balooobhai Patel having attained the age of seventy years, retires in terms of Section 186 (2) of the Companies' Act (Cap 486), and being eligible by virtue of a Special Notice given under section 186(5), offers himself for re-election.
 - 6.2 Margaret Dawes, retires by rotation in accordance with the Company's Articles of Association and she will not offer herself for re-election.
- In accordance with the Company's Article of Association, Tom Gitogo who was appointed a director on 1 July 2007 retires this being the first Annual General Meeting to be held since his appointment and being eligible, offers himself for re-election.
- In accordance with the Company's Article of Association, Norman J Kelly who was appointed a director on 31 December 2007, retires this being the first Annual General Meeting to be held since his appointment and being eligible, offers himself for re-election.
- To approve the Directors' remuneration.
- To note that the auditors, Ernst & Young, will continue in office in accordance with Section 159(2) of the Companies Act (Cap 486) and to authorise the Directors to fix their remuneration.
- To transact any other business with the permission of the Chair for which 48 hours notice had been given to the Company Secretary at the registered office of the Company.

By Order of the Board

Emma Wachira

Company Secretary

Date:March 2009

Note:

A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his behalf. A proxy need not be a member of the Company. To be valid, a proxy form, which is attached to the end of this report, must be completed and signed by the member and must be lodged at the offices of the Company Secretary, Pan Africa House, Kenyatta Avenue, P.O. Box 10493, 00100 Nairobi or be posted, so as to reach not later than Monday 25 May 2008 at 10.00 am.

Statement of Directors' Responsibilities

For The Year Ended 31 December 2008

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Company as at the end of the financial year and of the profits of the Group for that year. It also requires the directors to ensure that the Group and the Company keep proper accounting records, which disclose with reasonable, accuracy the financial position of the Group and the Company. They are also responsible for safeguarding the assets of the Group and the Company.

The directors accept responsibility for the annual consolidated financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and the Company and of its profits. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the Company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

..... Chairman

Director2009

.....2009



Report of the Independent Auditors

For The Year Ended 31 December 2008

Report on the Financial Statements

We have audited the accompanying financial statements of Pan Africa Insurance Holdings Limited (the Company) and of its subsidiaries together with the Group's financial statements, set out on pages 13 to 57, which comprise the consolidated balance sheet as at 31 December 2008, and the consolidated income statement, consolidated statement of changes in equity and consolidated cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an independent opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company and of its subsidiaries as at 31 December 2008, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on Other Legal and Regulatory Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit, that:

- We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- In our opinion proper books of account have been kept by the Group and the Company, so far as appears from our examination of those books; and
- The Group's and Company's balance sheets and income statements are in agreement with the books of account.

Nairobi2009

Report of the Statutory Actuary

For The Year Ended 31 December 2008

Certificate of Solvency in respect of Pan Africa Life Assurance Limited's Life and Pension Policies:

I have conducted a statutory actuarial valuation of the long-term business of Pan Africa Life Assurance Limited as at 31 December 2008.

This valuation has been conducted in accordance with generally accepted actuarial principles and in compliance with the requirements of the Insurance Act. These principles require prudent provision for future outgo under contracts, generally based upon the assumptions that current conditions will continue. Provision is therefore not made for all possible contingencies. In completing the actuarial valuation, I have relied upon the audited financial statements of the Company.

In my opinion, the long-term business of the Company was financially sound and the actuarial value of the liabilities in respect of all classes of life insurance and pension fund business did not exceed the amount of the Statutory Insurance Funds as at 31 December 2008.

Giles T Waugh

Statutory Actuary

MA, FIA, FASSA, ASA

Fellow of the Institute of Actuaries

2009



Embedded Value Report

For The Year Ended 31 December 2008

1. a) Definition of Embedded Value

This report sets out the embedded value and the value of new business of Pan Africa Life Assurance Limited. The embedded value represents an estimate of the economic value of the Company excluding the value attributable to future new business. The embedded value comprises:

- The value of the life company's shareholders' net assets; plus
- The value of the in-force business.

The value of in-force business is the present value of future profits arising from business in force at the valuation date, discounted at the risk discount rate.

b) European Embedded Value Principles (EEV)

Revised embedded value guidance from the Chief Financial Officer's (CFO) Forum's European Embedded Value (EEV) Principles, becomes effective for reporting periods ending on or after 31 December 2008. The EEV methodology was early adopted for the reporting period ended 31 December 2007 to avoid restating the figures come December 2008. The methodology and assumptions have been adjusted as follows:

- The equity risk premium assumption is increased from 2.0% to 3.5%;
- The cash gap assumption was changed from bond yield less 2% to bond yield less 1%; and
- The cost of capital is based on the higher of minimum statutory capital adequacy requirement. The internally assessed level of required capital for PAIH is now set at 5% of Admitted Liabilities as set out in section 41-1 of the Insurance Act of Kenya less the cost of policyholder bonuses.

	As at 31 Dec 2008 KShs. '000	Restated As at 31 Dec 2007 KShs. '000	% Change
2. Embedded Value Results			
Group embedded value			
Shareholders' adjusted net assets	1,953,622	1,845,356	6%
Net Value of in-force business	1,091,857	1,091,975	0%
Gross value of in-force business	1,584,613	1,341,314	18%
Tax provision	(475,384)	(246,654)	93%
Cost of CAR	(17,372)	(2,685)	547%
Embedded value	3,045,479	2,937,331	4%

Embedded Value Report

For The Year Ended 31 December 2008

	As at 31 Dec 2008 KShs. '000	Restated As at 31 Dec 2007 KShs. '000	% Change
Embedded value at end of year	3,045,479	2,937,331	4%
Embedded value at beginning of year	(2,937,331)	(2,554,397)	15%
Change in embedded value	108,148	382,934	-72%
Dividends paid and new capital	76,800	69,120	11%
European Embedded Value Methodology Change	-	(22,990)	-100%
Embedded value earnings	184,948	429,064	-57%
These earnings can be analysed as follows:			
Adjustment to fair value of subsidiary	276,300	-	-
Roll forward	232,286	191,510	21%
Investment return on free assets	44,412	23,007	93%
Tax on investment return on free Assets	(13,324)	-	-
Expected return on life business in force	201,197	168,503	19%
Change over the period	(323,638)	237,554	-236%
Value of new business at end of year	103,951	250,812	-59%
Value of new business at point of sale	133,684	233,883	-43%
Tax on value of new business	(40,105)	-	-
Expected return on new business to end of yr	10,373	16,929	-39%
Changes in assumptions and methodology	27,241	(29,973)	-191%
Change in Tax Treatment of Reserves	(165,036)	-	-106%
Experience variations	(47,225)	(22,928)	-
Cosr of CAR	(14,687)	-	-
Increase in NAV for other subsidiaries	(227,882)	39,643	-675%
Total earnings	184,948	429,064	-57%

3. Value of New Business

The value of new business represents the value of projected profits at the point of sale arising from new policies sold during the year to 31 December 2007, accumulated to the end of the year at the risk discount rate.

Value of new business as at 31 December 2008	101,051	250,812	-60%
Value at point of sale (gross of tax)	133,684	233,883	-43%
Tax on value at point of sale	(40,105)	-	-
Cost of CAR at point of sale	(2,901)	-	-
Expected return	10,373	16,929	-39%



Embedded Value Report

For The Year Ended 31 December 2008

4. Sensitivity to the Risk Discount Rate

The risk discount rate appropriate to an investor will vary depending on the investor's own requirements, tax position and perception of the risks associated with the realisation of the future profits of the African Life Group. The sensitivity of the embedded value to the risk discount rate is set out below:

Risk Discount Rate	15.12%	KShs '000	16.12%
KShs '000	17.12%	KShs '000	
Shareholders' net assets	1,953,622	1,953,622	1,953,622
Value of in-force business	1,118,216	1,091,857	1,064,013
Embedded value	3,071,839	3,045,479	3,017,635
Value of one year's new business at valuation date	111,148	101,051	91,475

5. Assumptions

The assumptions used in the calculation of the embedded value are based on the company's best estimate of future experience

The main assumptions used are as follows:

a) Economic Assumptions

The main economic assumptions (p.a.) used are as follows:

	2008	2007
	% p.a	% p.a
Risk Discount Rate	16.12	15.00
Overall investment return (pre tax)	11.95	11.10
Expense Inflation rate	8.12	8.00

b) Mortality Rates

The assumptions for future mortality rates are based on the results of recent experience investigations conducted by the company. Allowance has been made for expected future AIDS mortality using a table derived for Kenyan experience.

c) Expenses

The maintenance expense assumption is based on the results of recently conducted internal expense investigations.

d) Premium Escalations

The embedded value of in-force business includes the expected value of future premium increases resulting from premium indexation arrangements on in-force business. The value of new business includes the expected value of future premium increases resulting from premium indexation arrangements on new business written during the year to 31 December 2008.

e) Persistency / Surrender Basis

The assumptions for lapse and surrender rates are based on the results of recent experience investigations conducted by the company.

Embedded Value Report

For The Year Ended 31 December 2008

f) Tax

Allowance was made for the current life office taxation basis.

6. Sensitivities

This section illustrates the effect of different assumptions on the value of in-force business net of cost of capital. The effect of assumption changes in the Net Premium valuation has been included in the value of in-force business. For each sensitivity illustrated all other assumptions have been left unchanged.

	Value of in force KShs.'000	% change over base
Values as at 31 December 2008	1,091,857	
Policy discontinuance rate increases by 10% e.g. from 10% to 11%	1,091,517	0.0%
Future expense increases by 10%	1,026,139	-6.0%
Expense inflation increases by 1% e.g. from 10% to 11%	1,083,332	-0.8%
Mortality and morbidity experience increases by 10%	1,066,899	-2.3%
Investment returns decrease by 1% e.g. from 10% to 9%	1,039,239	-4.8%
Premium increase take-up rate decreases by 10% e.g. from 90% to 81%	1,087,833	-0.4%
The sensitivity of the value of new business is as follows:		
Value of one year's new business as at 31 December 2007	101,051	
Policy discontinuance rate increases by 10% e.g. from 10% to 11%	99,290	-1.7%
Future expense increases by 10%	83,800	-17.0%
Expense inflation increases by 1% e.g. from 10% to 11%	98,979	-2.0%
Mortality and morbidity experience increases by 10%	75,128	-25.6%
Investment returns decrease by 1% e.g. from 10% to 9%	90,319	-10.6%
Premium increase take-up rate decreases by 10% e.g. from 90% to 81%	99,584	-1.4%
Increase in non-commission acquisition expenses by 10%	77,370	-23.4%

Assumed Management Action

Mortality charges have been assumed to change in line with the costs of providing benefits.

Giles T Waugh MA, FIA, FASSA, ASA

Statutory Actuary,

Fellow of the Institute of Actuaries

2009



Group Income Statement

For The Year Ended 31 December 2008

	Note	2008 KShs.'000	2007 KShs.'000
RESULTS FROM OPERATING ACTIVITIES			
Gross premiums	9	2,510,032	2,070,433
Premiums ceded to reinsurers		(191,938)	(236,763)
Net premiums		2,318,094	1,833,670
Fees and commission income	10	51,106	59,015
Investment income	11 a	282,373	191,204
Realised Gains	11 b	83,627	(67,468)
Fair value gains and losses	11 c	(181,957)	218,704
Other operating revenue	11 d	1,112	19,042
Other revenue		236,261	420,497
Total revenue		2,554,355	2,254,167
Gross benefits and claims paid		(1,174,846)	(615,591)
Claims ceded to reinsurers		105,710	146,042
Gross change in contract liabilities		(456,638)	(808,719)
Net benefits and claims paid	14	(1,525,774)	(1,278,268)
Other operating and administrative expenses	13	(852,951)	(837,954)
Total benefits, claims and other expenses		(2,378,725)	(2,116,222)
Profit from operating activities		175,630	137,945
RESULTS FROM INVESTING ACTIVITIES			
Investment income	11 a	48,347	60,049
Realised Gains	11 b	22,978	265,889
Fair value gains and losses	11 c	(49,626)	(235,343)
Other operating revenue	11 d	-	23,438
Share of profit of an associate		(123,129)	581
Total revenue		(101,430)	114,614
Investment expenses		(74,042)	(64,347)
Profit from investing activities		(175,472)	50,267
Profit before tax		158	188,212
Income tax expense	16	(90,504)	(40,540)
Profit for the year		(90,346)	147,672
Earnings per share			
Basic earnings per ordinary share	30	(1.88)	3.07
Diluted earnings per ordinary share		(1.88)	3.07

Company Income Statement

For The Year Ended 31 December 2008

	Note	2008 KShs.'000	2007 KShs.'000
INCOME			
Investment return		4,473	22,097
Income from associated companies		(525)	294
Dividends received from subsidiary		18,894	12,000
Other income		999	10,204
		23,840	44,595
OPERATING EXPENSES		(52,215)	(48,179)
(Loss)/ profit before income tax		(28,375)	(3,584)
Income tax		-	-
(LOSS)/ PROFIT FOR THE YEAR		(28,375)	(3,584)



Group Balance Sheet

For The Year Ended 31 December 2008

	Note	2008 KShs.'000	Restated 2007 KShs.'000
CAPITAL EMPLOYED			
Share capital	17	240,000	240,000
Share premium		364,431	364,431
Revaluation surplus		7,507	10,273
Retained earnings		393,504	700,760
Transfer to life funds	18	(208,326)	(208,326)
General fund	19	400,817	260,705
SHAREHOLDERS' FUNDS		1,197,933	1,367,837
REPRESENTED BY:			
ASSETS			
Intangible assets	21	8,240	5,289
Investments	23	511,985	647,935
Property and equipment	20 (a)	65,205	60,147
Investment property	22	374,500	234,500
Financial Instruments	12		
Held-to-maturity financial assets		492,522	231,551
Loans and receivables		268,108	425,253
Financial assets at fair value through profit or loss		3,036,894	2,799,823
Land and development		88,525	47,733
Current income tax		23,292	23,293
Reassurers' share of technical provisions and reserves		30,630	50,900
Receivables arising out of reinsurance arrangements		-	6,837
Other receivables	28	70,490	98,969
Receivables arising out of direct insurance arrangements		232,358	119,933
Deposits with financial institutions	36	830,417	1,054,350
Cash and bank balances	36	73,247	62,670
TOTAL ASSETS		6,106,413	5,869,183
LIABILITIES			
Insurance contract liabilities	31	3,693,567	3,236,924
Amounts payable under deposit administration contracts	32	352,405	293,372
Claims reported and claims handling expenses		117,427	135,668
Creditors arising from reinsurance arrangements		39,224	63,248
Current income tax		51,000	38,004
Deferred tax	24	28,930	-
Other payables	33	625,927	734,129
TOTAL LIABILITIES		4,908,480	4,501,282
NET ASSETS		1,197,933	1,367,837

The financial statements were approved by the Board of Directors on 2009 and signed on its behalf by:

John P N Simba
Chairman

.....2009

Tom Gitogo
Chief Executive

.....2009

Company Balance Sheet

For The Year Ended 31 December 2008

	Note	2008 KShs.'000	Restated 2007 KShs.'000
CAPITAL EMPLOYED			
Share capital	17	240,000	240,000
Share premium		364,431	364,431
Retained earnings		529,769	634,944
Transfer to life funds	18	(170,322)	(224,006)
SHAREHOLDERS' FUNDS		963,877	1,015,369
REPRESENTED BY:			
ASSETS			
Property and equipment	20 (b)	168	246
Investment property	22	6,000	6,000
Investment in subsidiaries	23	1,014,038	1,010,212
Investment in associates	23	7,311	7,836
Land and development		88,525	47,732
Current income tax		13,680	13,680
Financial instruments			
Financial assets at fair value through profit or loss		7,978	171,653
Other receivables		35,445	41,332
Deposits with financial institutions		19,259	77,915
Cash and bank balances		7,661	18,303
		1,200,065	1,394,909
LIABILITIES			
Other payables	33	236,187	417,544
TOTAL LIABILITIES		274,191	379,541
NET ASSETS		963,877	1,016,182

The financial statements were approved by the Board of Directors on2009 and signed on its behalf by:

John P N Simba
Chairman

Tom Gitogo
Chief Executive

.....2009

.....2009



Group Statement of Changes in Equity

For The Year Ended 31 December 2008

Year ended 31 December 2007:

Note	Share capital KShs.'000	Share premium KShs.'000	Transfer life fund KShs.'000	Revaluation reserve KShs.'000	Retained earnings KShs.'000	General fund KShs.'000	Total KShs.'000
At 1 January – As previously reported	240,000	364,431	(53,684)	7,436	769,134	-	1,327,317
Prior year adjustment	-	-	(170,322)	-	(24,584)	170,322	(24,584)
At 1 January - restated	240,000	364,431	(224,006)	7,436	744,550	170,322	1,302,733
Profit for the year	-	-	-	-	201,072	-	201,072
Transfer to shareholders' fund	-	-	53,684	-	(53,684)	-	-
Transfer to general reserve	-	-	-	-	(121,850)	121,850	-
Revaluation of buildings held at amortised cost	-	-	-	2,521	-	-	2,521
Share of associates revaluation gain on freehold land and buildings	-	-	-	979	-	-	979
Share of associates deferred tax gain	-	-	-	-	-	-	-
Dividends							
Final for 2006 paid	-	-	-	-	(69,120)	-	(69,120)
At 31 December	240,000	364,431	(170,322)	10,936	700,968	292,172	1,438,185
Year ended 31 December 2008:							
At 1 January – As previously reported	240,000	364,431	(170,322)	10,936	700,968	292,172	1,438,185
Prior year adjustment (note 29)	-	-	(38,004)	(663)	(208)	(31,467)	(70,342)
At 1 January - restated	240,000	364,431	(208,326)	10,273	700,760	260,705	1,367,843
Profit for the year	-	-	-	-	(90,344)	-	(90,344)
Transfer to shareholders' fund	-	-	-	-	-	-	-
Transfer to general reserve	-	-	-	-	(140,112)	140,112	-
Revaluation of buildings held at amortised cost	-	-	-	(3,885)	-	(3,885)	-
Share of associates revaluation gain on freehold land and buildings	-	-	-	1,119	1,119	-	-
Share of associates deferred tax gain	-	-	-	-	-	-	-
Dividends (note 37)	-	-	-	-	-	-	-
Proposed final for 2008	-	-	-	-	-	-	-
Final for 2007 paid	-	-	-	-	(76,800)	-	(76,800)
At 31 December	240,000	364,431	(208,326)	7,507	393,504	400,817	1,197,933

Company Statement of Changes in Equity

For The Year Ended 31 December 2008

Year ended 31 December 2007:

	Note	Share capital	Share premium	Transfer life fund	Retained earnings	General fund
Total		KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At start of the year before						
transfer to life fund		240,000	364,431	(297,001)	708,461	1,015,891
Transfer from life funds		-	-	72,995	-	72,995
Loss for the year		-	-	-	(3,584)	(3,584)
Dividends:						
Proposed final for 2007		-	-	-	-	-
Final for 2006 paid		-	-	-	(69,120)	(69,120)
		240,000	364,431	(224,006)	635,757	1,016,182

Year ended 31 December 2008:

At start of the year before transfer to life fund	240,000	364,431	(224,006)	635,757	1,016,182
Prior year adjustment (note 29)	-	-	-	(813)	(813)
	240,000	364,431	(224,006)	634,944	1,015,369
Transfer from life funds			53,684		53,684
Loss for the year				(28,375)	(28,375)
Dividends: (note 37)					
Proposed final for 2008					-
Final for 2007 paid				(76,800)	(76,800)
	240,000	364,431	(170,322)	529,769	963,877



Group Cash Flow Statement

For The Year Ended 31 December 2008

	Note	2008 KShs.'000	2007 KShs.'000
OPERATING ACTIVITIES			
Cash generated from operations	39	98,885	881,868
Interest income		282,373	240,071
Tax paid		-	-
Net cash from operating activities		381,258	1,121,939
INVESTING ACTIVITIES			
Purchase of property and equipment	20 (a)	(42,440)	(14,927)
Purchase of quoted shares		(730,738)	(725,067)
Purchase of Government securities		(442,430)	(457,323)
Purchase of commercial paper		(247,891)	153,985
Mortgage loans advanced	25	(33,641)	(39,278)
Mortgage loan repayments		23,447	16,405
Net policy loans advanced		172,461	(105,370)
Proceeds from disposal of property and equipment		2,000	221,312
Proceeds from disposal of quoted shares		780,793	673,659
Dividend received from associate		7,195	8,394
Purchase of software		(6,570)	(3,078)
Net cash used in investing activities		(517,814)	(271,288)
FINANCING ACTIVITIES			
Dividends paid		(76,800)	(69,120)
Net cash used in financing activities		(76,800)	(69,120)
Increase/(decrease) in cash and cash equivalents		(213,356)	781,531
Movement in cash and cash equivalents at start of year			
At the start of the year		1,117,020	335,489
Increase/(decrease) in cash and cash equivalents		(213,356)	781,531
AT END OF YEAR	36	903,664	1,117,020

Notes to the Financial Statements

For The Year Ended 31 December 2008

7. PRINCIPAL ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The financial statements are presented in the functional currency, Kenya Shillings (KShs.) rounded to the nearest one thousand, and prepared under the historical cost convention, as modified by the carrying of certain property and equipment, investment property and certain investments at fair value, impaired assets at their recoverable amounts and actuarially determined liabilities at their present value. The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions. It also requires management to exercise its judgement in the process of applying the group's accounting policies.

b) Adoption of new and revised standards

In 2008, the following new and revised standards and interpretations became effective for the first time and have been adopted by the company where relevant to its operations.

- IAS 1 Amendment, Capital Disclosures. The amendment to IAS 1 introduces disclosures about the level of the company's capital and how it manages capital
- IFRS 7, Financial Instruments: Disclosures. IFRS 7 introduces new disclosures relating to financial instruments.
- IFRIC 11 – Group and Treasury Share Transactions. The interpretation clarifies on how to account for share based payment transactions in which an entity receives services as consideration for its own equity instruments.

Standards, interpretations and amendments to published standards that are not yet effective

The following amendment to an existing standard and new standard and interpretations will be mandatory for the company's accounting periods beginning on

or after 1 January 2008, but which the company has not early adopted:

- IFRS 8 – Operating Segments – from 1 January 2009
- IAS 23 – Borrowing Costs (revised) – from 1 January 2009

The directors are assessing the relevance of these amendments and interpretations with respect to the company's operations.

c) Consolidation

i) Subsidiaries

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date the control ceases.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

c) Consolidation (Continued)

ii) Associates

Associates are all entities over which the Group has significant influence but not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Investments in associates are accounted for by the equity method of accounting and are initially recognised at cost.

The Group's share of its associates' post-acquisition profits or losses is recognised in the income statement and its share of pre-acquisition movements in reserves is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the associate.



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

7. PRINCIPAL ACCOUNTING POLICIES (Continued)

Unrealised gains on transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associates. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

d) Segment reporting

A business segment is a group of assets and operations engaged in providing products or services that are subject to risks and returns that are different from those of other business segments. A geographical segment is engaged in providing products or services within a particular economic environment that are subject to risks and returns that are different from those of segments operating in other economic environments.

e) Income recognition

Premium income on individual life policies is recognised on the basis of premium instalments expected during the year.

Group life premiums are accounted for when receivable and collection is reasonably assured.

Commissions receivable are recognised as income in the period in which they are earned.

Investment income is stated net of investment expenses. Interest income is recognised on a time proportion basis using the effective interest method. Dividends are recognised as income in the period in which the right to receive payment is established.

Rental income is recognised as income in the period in which it is earned.

f) Policyholder benefits

Policyholder benefits incurred comprise benefits paid in the year and changes in the provision for insurance contract liabilities. Benefits paid represent all payments made during the year, whether arising from events during that or earlier years. Insurance contract liabilities represent the estimated ultimate cost of settling all benefits accruing to policyholders and are discounted to the present value.

g) Deposit administration contracts

The group administers the funds of a number of retirement benefit schemes. The liability

of the group to the schemes is included in the balance sheet.

h) Property and equipment

All categories of property and equipment are initially recorded at cost. Buildings and freehold land are subsequently shown at market value, based on valuations by external independent valuers. All other property and equipment is stated at historical cost less depreciation.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the income statement.

Freehold land is not depreciated. Depreciation on other assets is calculated using the straight line method to write down their cost or revalued amount to their residual values over their estimated useful lives, as follows:

Buildings - Over the unexpired lease period

Equipment and Motor vehicles - 3-8 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

Property and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

7. PRINCIPAL ACCOUNTING POLICIES (Continued)

Gains and losses on disposal of property and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

i) Investment property

Buildings, or part of a building, and land (freehold or held under an operating lease) held for long term rental yields and/or capital appreciation and are not occupied by the Group are classified as investment property. Investment property is carried at fair value, representing open market value determined annually by external valuers. Changes in fair values are included in investment income in the income statement.

On disposal of an investment property, the difference between the disposal proceeds and the carrying amount is charged or credited to the income statement.

j) Intangible assets

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use, the specific software. These costs are amortised over their estimated useful lives (three to five years).

k) Investments

The group classifies its investments in the following categories: financial assets at fair value through profit or loss, loans and receivables and held-to-maturity investments. The classification depends on the purpose for which the investments were acquired. Management determines the classification of its investments at initial recognition and re-evaluates such designation at every reporting date:

i) Financial assets at fair value through profit or loss

Management has designated quoted shares as investments at fair value through profit or loss. Previously quoted shares were classified as available for sale.

ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that

are not quoted in an active market. Loans and receivables are disclosed on the face of the balance sheet.

iii) Held-to-maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the group has the positive intention and ability to hold to maturity. Held-to-maturity investments comprise government securities, commercial paper and corporate bonds.

Purchases and sales of investments are recognised on the trade date, which is the date on which the Group commits to purchase or sell the asset. Investments are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Investments are derecognised when the rights to receive cash flows from the investments have expired or have been transferred and the group has transferred substantially all risks and rewards of ownership.

Financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Realised and unrealised gains and losses arising from changes in the fair value of the 'financial assets at fair value through profit or loss' category are included in the income statement in the period in which they arise.

The fair values of quoted investments are based on current bid prices. If the market for a financial asset is not active (and for unlisted securities), the group establishes fair value by using valuation techniques. These include the use of recent arm's length transactions, reference to other instruments that are substantially the same, discounted cash flow analysis and option pricing models refined to reflect the issuer's specific circumstances.

The Group assesses at each balance sheet date whether there is objective evidence that a financial asset or a group of financial assets is impaired.



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

7. PRINCIPAL ACCOUNTING POLICIES (Continued)

l) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into the functional currency, Kenya Shillings, using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

m) Accounting for leases

Leases of assets where a significant proportion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to income on a straight-line basis over the period of the lease.

n) Land and development

Land and development, comprising plots held for resale, is stated at the lower of cost and net realisable value. The cost of land and development includes infrastructure costs incurred in respect of unsold plots, which are deferred and released to income as the land is sold.

o) Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the Group will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of estimated future cash flows, discounted at the effective interest rate. The amount of the provision is recognised in the income statement.

p) Employee entitlements

i) Retirement benefit obligations

The Group operates a defined contribution retirement benefit scheme for qualifying employees.

The Group and all its employees also contribute to the National Social Security Fund which is also a defined contribution scheme. A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The Group's contributions to the defined contribution schemes are charged to the income statement in the year to which they relate.

ii) Other entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

q) Income tax

Income tax expense is the aggregate of the charge to the income statement in respect of current, income tax and deferred income tax.

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Kenyan Income Tax Act.

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss, it is not accounted for. Deferred income tax is determined using tax rates enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

7. PRINCIPAL ACCOUNTING POLICIES (Continued)

r) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until approved at a general meeting of the shareholders.

s) Comparatives

Where necessary, comparatives have been adjusted to conform to changes in presentation in the current year.

t) Risk and capital management

The Group has adopted IFRS 7 Financial Instruments:

Disclosures and the revised IAS 1:- Presentation of Financial statements. Note 39 details the Capital Management Policy while Note 40 details the nature and extent of risks arising from financial instruments and the approach the Group has adopted to mitigate these risks.

u) Expenses

- i) Expenses are recognised in the income statement when decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. This means in effect that recognition of an increase in liabilities or a decrease in an asset (for example the accrual of employee entitlements or the depreciation of equipment).
- ii) When economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined expenses are recognised in the income statement on the basis of systematic and rational allocation procedures. This is often necessary in recognising the equipment associated with the using up of assets such as property, plant and equipment in such cases the expense is referred to as a depreciation or amortisation. These allocation procedures are intended to recognise expenses in the accounting periods in which the economic

benefits associated with these items are consumed or expire.

- iii) An expense is recognised immediately in the income statement when expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, or cease to qualify, for recognition in the balance sheet as an asset.



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

8. BUSINESS SEGMENT INFORMATION

The core activity of the Group is in the carrying out of long term insurance business. The Group also has interests in an investment company, a general insurance business and a company involved in the development and sale of plots.

	Investments			
	Long term Insurance	General Business	Property development	Group
Year ended 31 December 2008:	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Gross premium income	2,510,032	-	-	2,510,032
Net premium income	2,318,094	-	-	2,318,094
Other income:				
Investment income	283,794	(31,304)	5,471	257,961
Share of associate's profit	-	(122,604)	(525)	(123,129)
Segment inflows	2,601,888	(153,908)	4,946	2,452,926
Segment outflows	(2,381,845)	(18,613)	(52,308)	(2,452,766)
Profit before income tax	220,043	(172,521)	(47,362)	160
Income tax expense	(79,931)	(10,573)	-	(90,504)
Net profit for the year	140,112	(183,094)	(47,362)	(90,344)
Segment assets	5,125,899	914,559	1,200,064	6,106,413
Segment liabilities	4,532,826	256,244	236,187	4,908,480
Capital expenditure	42,440	-	-	42,440
Depreciation	27,240	145	79	27,464
Year ended 31 December 2007:				
Gross premium income	2,070,433	-	-	2,070,433
Net premium income	1,833,670	-	-	1,833,670
Other income:				
Investment income	365,447	34,681	22,097	422,225
Miscellaneous income	78,057	13,232	10,204	101,493
Share of associate's profit	-	1,100	294	1,394
Segment inflows	2,277,174	49,013	32,595	2,358,782
Segment outflows	(2,101,640)	(5,355)	(48,179)	(2,155,174)
Profit before income tax	175,534	43,658	(15,584)	203,608
Income tax expense	-	(2,536)	-	(2,536)
Net profit for the year	175,534	41,122	(15,584)	201,072
Segment assets	5,510,566	1,106,614	302,761	5,901,463
Segment liabilities	4,878,707	220,835	104,659	4,463,279
Capital expenditure	18,005	-	-	18,005
Depreciation	22,316	-	-	22,316

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

8. BUSINESS SEGMENT INFORMATION (Continued)

The long term insurance business is further analyzed as follows:

Year ended 31 December 2008:

	Ordinary life business	Group life business	Total
	KShs'000	KShs'000	KShs'000
Gross premiums	1,502,445	1,007,587	2,510,032
Reassurance	(10,008)	(181,930)	(191,938)
Net premiums	1,492,437	825,657	2,318,094
Investment income	199,619	28,835	228,454
Commissions earned	43,744	43,744	
Other income (including fees)	8,481	(5)	8,476
Total income	1,700,537	898,231	2,598,768
Policyholders' benefits:			
Life and health claims	(30,092)	(467,345)	(497,437)
Surrenders and annuity payments	(676,205)	-	(676,205)
Policyholder bonuses and interest	-	-	-
Claims handling expenses	(1,204)	-	(1,204)
Change in actuarial value of policyholder benefits	(102,949)	(353,689)	(456,638)
Less: amounts recoverable from reinsurers	-	105,710	105,710
Net claims and policyholder benefits payable	(810,450)	(715,324)	(1,525,774)
Operating and other expenses	(411,098)	(54,835)	(467,480)
Commissions payable	(249,881)	(135,590)	(485,471)
Total expenses	(1,471,429)	(905,749)	(2,378,724)
(Loss)/profit before income tax	229,108	(7,518)	220,043
Income tax expense	(81,057)	-	(79,931)
(Loss)/profit for the year	148,051	(7,518)	140,112
Life funds at the end of the year comprise amounts attributable to:			
Policy holders			
Actuarial liabilities	2,933,577	759,990	3,693,567
deposit administration funds	-	-	352,404
	2,933,577	759,990	4,045,971



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

8. BUSINESS SEGMENT INFORMATION (Continued)

Year ended 31 December 2008:

	Ordinary life business	Group life business	Total
	KShs'000	KShs'000	KShs'000
Gross premiums	1,218,491	851,942	2,070,433
Reassurance	(25,266)	(211,497)	(236,763)
Net premiums	1,193,225	640,445	1,833,670
Investment income	296,903	68,544	365,447
Commissions earned	7,690	51,325	59,015
Other income (including fees)	5,107	13,935	19,042
Total income	1,502,925	774,249	2,277,174
Policyholders' benefits:			
Life and health claims	(145,548)	(305,123)	(450,671)
Surrenders and annuity payments	(140,282)	(496)	(140,778)
Policyholder bonuses and interest	(278)	(23,006)	(23,284)
Claims handling expenses	(858)	-	(858)
Change in actuarial value of policyholder benefits	(641,219)	(167,500)	(808,719)
Less: amounts recoverable from reinsurers	-	146,042	146,042
Net claims and policyholder benefits payable	(928,185)	(350,083)	(1,278,268)
Operating and other expenses	(380,965)	(43,334)	(424,299)
Commissions payable	(240,077)	(158,996)	(399,073)
Total expenses	(1,549,227)	(552,413)	(2,101,640)
(Loss)/profit before income tax	(46,302)	221,836	175,534
Income tax expense	-	-	(38,004)
(Loss)/profit for the year	(46,302)	221,836	137,530
Life funds at the end of the year comprise amounts attributable to:			
Policy holders			
Actuarial liabilities	2,830,622	406,302	3,236,924
Deposit administration funds	-	-	293,372
	2,830,622	406,302	3,530,296

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

9. GROSS PREMIUM INCOME

The principal activity of the Group is the underwriting of long-term insurance business as defined by the Insurance Act. Premium income can be analysed between the two main classes as follows:

	2008	2007
	KShs.'000	KShs.'000
New business:		
Recurring		
Individual life	230,834	181,510
Group business	106,742	125,845
Single premiums:		
Individual life	73,778	29,393
Group business	590,818	551,301
Total new business	1,002,172	888,049
Renewal recurring:		
Individual life	1,197,833	1,007,588
Group business	310,027	174,796
Total renewal premium income	1,507,860	1,182,384
Total premium income	2,510,032	2,070,433

10. FEES AND COMMISSION INCOME

	2008	2007
	KShs.'000	KShs.'000
Fees	7,332	5,107
Commission receivable	43,774	53,908
	51,106	59,015

11. INVESTMENT RETURN

A. INVESTMENT INCOME

	Investing activity		Operating activity	
	2008	2007	2008	2007
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Interest from government securities	33,685	35,797	164,480	156,354
Interest from bank deposits	6,603	13,219	115,583	56,658
Interest from loans	2,340	1,106	20,511	18,209
Dividends from listed companies	5,720	-	18,853	13,675
Rental income	-	9,927	23,449	(8,481)
Investment expenses	(74,042)	(64,347)	(60,504)	(45,211)
Investment income	(25,695)	(4,298)	282,373	191,204



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

11. INVESTMENT RETURN (continued)

A. REALISED GAINS

	Investing activity		Operating activity	
	2008	2007	2008	2007
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Realised gains/(loss) - equity securities	22,978	265,889	83,627	(67,468)
	22,978	265,889	83,627	(67,468)

C. FAIR VALUE GAINS AND LOSSES

Treasury bonds	855	-	(21,290)	44,321
Investment properties fair value gain/(loss) (note 22)	18,729	2,000	98,000	13,500
Financial assets fair value loss/gains	(69,209)	(237,343)	(258,668)	158,210
Corporate bonds and commercial papers	-	-	-	2,673
	(49,626)	(235,343)	(181,957)	218,704

D. OTHER REVENUE

Profit Commission	-	10,150	-	17,752
(Loss)/gain on disposal	-	(8,943)	1,112	1,290
Miscellaneous	-	231	-	-
Debt recovery	-	22,000	-	-
	-	23,438	1,112	19,042

12. FINANCIAL INSTRUMENTS

The groups financial instruments other than derivative financial instruments are summarised by categories as follows:

	2008	2007
	KShs.'000	KShs.'000
Financial assets at fair value through profit or loss	3,036,894	2,799,823
Held-to-maturity financial assets	492,523	231,551
Loans and receivables	268,108	425,253
Total financial instruments	3,797,525	3,456,627

A FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

Equity securities	1,010,170	1,108,467
Government debt securities (note 26)	1,824,857	1,643,398
Commercial paper	201,868	47,958
Total financial assets at fair value through profit or loss	3,036,894	2,799,823

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

12. FINANCIAL INSTRUMENTS (Continued)

	2008 KShs. '000	2007 KShs. '000
B HELD-TO-MATURITY FINANCIAL ASSETS		
Held-to-maturity investments comprise Government bonds held under lien in favor of Commissioner of Insurance. The group has the positive intention and ability to hold until maturity.		
Government Bonds under lien (note 26)	492,523	231,551
Total Held-to-maturity financial assets	492,523	231,551
C LOANS AND RECEIVABLES		
Policy loans	131,550	304,011
Mortgage loans (note 25)	136,558	121,242
Total Loans and receivables	268,108	425,253

	2008 KShs. '000	2007 KShs. '000
13. OPERATING EXPENSES		
Other expenses include:		
Staff costs(note 15)	237,572	217,591
Amortisation and depreciation(note 20 and 21)	27,464	22,316
Fees for managerial and administrative services:	10,409	9,305
Auditor's remuneration	2,272	2,970
Tax audit	4,318	1,114
Legal	1,349	2,751
Actuarial	2,470	2,470
Repairs and maintenance	3,366	1,903
Impairment provision on mortgage loans	-	677
Premium tax and stamp duty	23,266	19,038

14. POLICYHOLDER BENEFITS		
Gross death and disability claims	489,824	328,991
Maturity and survival benefits	248,852	196,886
Policy surrenders	436,171	66,708
Interest declared to deposit administration funds	-	23,006
Change in actuarial value of insurance contract liabilities	456,638	808,719
	1,631,484	1,424,310

15. STAFF COSTS		
Staff costs include the following:		
Retirement benefit costs	33,371	12,237
Social security benefit costs	507	412
Other expenses	203,694	204,942
	237,572	217,591



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

16. INCOME TAX

	2008	2007
	KShs.'000	KShs.'000
Current income tax	51,000	38,004
Deferred income tax(note 24)	28,930	-
Current year tax charge	79,930	38,004
Share of Associates' tax (note 23)	10,572	2,536
	90,502	40,540

The tax on the group's profit before tax differs from the theoretical amount that would arise using the statutory tax rate as follows:

	2008	2007
	KShs.'000	KShs.'000
Reconciliation of taxation expense to tax based on accounting profit:-		
Profit before income tax	158	202,794
Tax calculated at a statutory rate of 30%	47	60,838
Tax effect of:		
Income not subject to tax	(87,551)	(229,905)
Expenses not deductible for tax	59,736	91,565
Deferred income tax asset not recognised	78,768	158,444
Prior year adjustments	-	(42,938)
Income tax charge	51,000	38,004
Ordinary		

17. SHARE CAPITAL

	Ordinary shares	Ordinary shares
	KShs.'000	KShs.'000
At start and end of year	240,000	240,000

The total number of authorised ordinary shares is 100,000,000, with a par value of KShs. 5 per share. There are 48,000,000 shares in issue with a par value of KShs. 5 per share. All issued shares are fully paid

18. TRANSFER TO LIFE FUNDS

During 2001, the directors authorised a total transfer of KShs. 297,001,000 from shareholders' funds to the individual life fund to finance an actuarial deficit arising from new business strain and the write down of certain investment properties. The directors with the advice of the statutory actuary recommend a transfer of Kshs. 170,000,000 for the year ended 31st December 2008

19. GENERAL FUND

The general fund represents a reserve maintained within the long term insurance business and represents unallocated surpluses from previous actuarial valuations as required by section 46(5) of the Insurance Act. Transfers from this fund to the income statement and the statutory funds are made upon recommendation of the actuary. This movement has been shown on page 17.

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

20(a) GROUP PROPERTY AND EQUIPMENT

Year ended 31 December 2008:

	Buildings	Motor vehicle	Furniture, fittings and equipment	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Cost /valuation:				
At 01 January (restated)	15,084	10,396	117,511	142,991
Additions	-	4,530	37,910	42,440
Revaluations	-	-	-	-
Disposals	-	(6,200)	-	(6,200)
Reclassification to investment property	(15,084)			(15,084)
At 31 December	-	8,726	155,421	164,147
Accumulated depreciation:				
At 01 January	2,084	8,401	72,637	83,122
Charge for the year	-	2,749	21,097	23,846
Revaluations	-	-	-	-
Disposals	-	(5,942)	-	(5,942)
Reclassification to investment property	(2,084)	-	-	(2,084)
At 31 December	-	5,208	93,734	(98,942)
Net book value:				
At 31 December	-	3,518	61,687	65,205

No depreciation has been charged in arriving at the results for the year in respect of certain fully depreciated property and equipment with a cost of KShs 51,833,178(2007: KShs. 43,422,990) which are still in use. If depreciation had been charged during the year on the cost of these assets at normal rates, it would have amounted to KShs 12,161,703(2007: KShs. 8,006,508).

Year ended 31 December 2007:

	Buildings	Motor vehicle	Furniture, fittings and equipment	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Cost /valuation:				
At 01 January	12,819	13,428	102,886	129,133
Additions	-	-	14,927	14,927
Revaluations	2,265	-	-	2,265
Reclassification to investment property	-	(3,032)	(24)	(3,056)
At 31 December	15,084	10,396	117,789	143,269
Accumulated depreciation:				
At 01 January	2,084	8,792	55,371	66,247
Charge for the year	256	2,641	17,268	20,165
Revaluations	(256)	-	-	(256)
Reclassification to investment property	-	(3,032)	(2)	(3,034)
At 31 December	2,084	8,401	72,637	83,122
Net book value:				
At 31 December	13,000	1,995	45,152	60,147



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

20.(b) COMPANY PROPERTY AND EQUIPMENT

At 31 December 2008

Furniture and
equipment
KShs.'000

Total
KShs.'000

Cost:

At 01 January 560 560

Additions - -

At 31 December 560 560

Accumulated depreciation:

At 01 January 314 314

Charge for the year 78 78

At 31 December 392 392

Net book value:

At 31 December 2008 168 168

At 31 December 2007 246 246

2008

2007

21. GROUP INTANGIBLE ASSETS (SOFTWARE)

KShs.'000

KShs.'000

Cost:

At 01 January 10,515 7,437

Additions 6,570 3,078

At 31 December 17,085 10,515

Accumulated depreciation:

At 01 January 5,226 3,075

Charge for the year 3,618 2,151

At 31 December 8,844 5,226

Net book value 8,240 5,289

22. INVESTMENT PROPERTY

Company

Group

2008

2007

2008

2007

KShs.'000

KShs.'000

KShs.'000

KShs.'000

At 01 January 6,000 6,000 234,500 439,000

Transfer from Mae properties - - - -

Reclassification from property and equipment - - 13,265 -

Reclassification from other receivables - - 10,006 -

Fair value gain/(loss) - - 116,729 15,500

Disposals - - - (220,000)

At 31 December 6,000 6,000 374,500 234,500

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

22. INVESTMENT PROPERTY(Continued)

Investment properties are stated at fair value, which has been determined based on valuations performed by Lloyd Masika Limited and Knight Frank Limited as at 31 December 2008. Lloyd Masika and Knight Frank Limited are industry specialists in valuing these types of investment properties. The fair value represents the amount at which the assets could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction at the date of valuation. Valuations are performed on an annual basis and the fair value gains and losses are recorded within the income statement.

	Shareholding	2008	2007
23. INVESTMENTS		KShs. '000	KShs. '000
Pan Africa Life Assurance Limited	100%	331,203	331,203
PA Securities Limited	100%	679,009	679,009
SIM Kenya Limited	17.5%	3,826	-
		1,014,038	1,010,212

INVESTMENTS

	Company	Group		
	2008	2007	2008	2007
	KShs. '000	KShs. '000	KShs. '000	KShs. '000
Share of associates' balance sheet:				
Current assets	10,203	11,124	486,291	441,582
Non-current assets	2,312	2,704	1,511,564	1,367,224
Current liabilities	(4,059)	(3,836)	(84,112)	(53,438)
Non-current liabilities	(1,145)	(2,155)	(1,401,759)	(1,107,433)
Net assets	7,311	7,836	511,985	647,935
Share of associates' revenue and profit:				
Revenue	6,066	5,713	132,944	21,933
Profit	(566)	167	108,906	(1,268)
Carrying amount of investments:	7,311	7,836	511,985	647,935
Principal activity			2008	2007
Investments comprise:			Shareholding	Shareholding
APA Insurance Limited	General Insurance		39.97%	39.97%
Runda Water Limited	Water distribution		24.90%	24.90%
SIM (K) Limited	Fund Management		17.50%	-

APA Insurance limited and Runda Water Limited are incorporated in Kenya.

APA Insurance adopted IAS 39 (amended) that permitted equity instruments to be reclassified from financial instruments through profit or loss to held for trading. The group policy is to classify equity instruments as financial instruments through profit or loss. Consequently the group modified the results of the associate to conform with group policy as is required by IAS 28.



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

24. GROUP DEFERRED INCOME TAX

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2007: 30%). The movement on the deferred income tax account is as follows:

	2008 KShs. '000	2007 KShs. '000
At start of the year	-	-
Deferred tax charge (note 15)	28,930	-
At end of year	28,930	-

Deferred income tax assets and liabilities and deferred income tax charge/(credit) in the income statement are attributable to the following items:

	At start of year KShs. '000	Charged to equity KShs. '000	Charge/ (credit) to income statement KShs. '000	At end of year KShs. '000
Property and equipment	(6,946)	1,261	553	(5,132)
Investment property fair value gains	(3,900)		41,729	37,829
Quoted shares – fair value gain	107,134		(96,108)	11,026
Provisions	(108,151)	518	3,464	(104,169)
Tax losses carried forward	(769,629)	636,968	(58)	(132,719)
	(781,492)	638,229	50,420	(193,683)
Pan Africa Life Assurance Limited	629,193	(629,193)		-
PA Securities Limited	35,273	80,397	10,499	126,169
Mae Properties Limited	3,234	-		3,234
Pan Africa Insurance Holdings Limited	113,792	(79,621)	1,179	35,350
Deferred income tax not recognised	781,492	(628,417)	11,678	164,753
Deferred income tax on the balance sheet	-	9,812	(38,742)	(28,930)

COMPANY DEFERRED INCOME TAX

	At start of year KShs. '000	Charged to equity KShs. '000	Charge/ (credit) to income statement KShs. '000	At end of year KShs. '000
Plant & Equipment	(2,549)	-	364	(2,185)
Provisions	(1,189,311)	-	137	(1,189,173)
Tax losses carried forward	(32,982,488)	-	(1,318)	(32,983,807)
	(34,174,347)	-	(817)	(34,175,165)
Deferred income tax not recognised	4,174,347	-	817	34,175,165
Deferred income tax on the balance sheet	-	-	-	-

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

25. MORTGAGE LOANS

	2008 KShs. '000	2007 KShs. '000
Group:		
At 01 January	126,994	104,122
Accrued interest	9,557	6,026
Loans advanced	33,641	39,278
Loan repayments	(23,442)	(22,432)
At 31 December	146,750	126,994
Impairment:		
At 01 January	10,192	5,752
Charge for the year	-	-
At 31 December	10,192	5,752
At 31 December	136,558	121,242
Maturity profile of mortgage loans		
Loans maturing:		
Within 1 year	5,971	18,485
In 1-5 years	21,235	60,780
After 5 years	119,544	47,729
	146,750	126,994
Loans at:		
Market rate	15,517	14,447
Concessionary rate	22,095	23,669
Staff loans	109,138	88,878

26. MATURITY PROFILE OF FINANCIAL INSTRUMENTS

	< 1 year KShs. '000	1 - 5 years KShs. '000	> 5 years KShs. '000	Open ended KShs. '000	Total KShs. '000
31 December 2008	-	-	-	-	-
Public sector stocks and loans	400,032	895,334	1,223,881	-	2,519,247
Loans and receivables	-	268,108	-	-	268,108
Equity securities	-	-	-	1,010,170	1,010,170
	400,032	1,163,988	1,223,881	1,010,170	3,798,071
31 December 2007					
Public sector stocks and loans	336,353	808,825	777,729	-	1,922,907
Loans and receivables	319,233	36,848	52,052	17,120	425,253
Equity securities	-	-	-	1,108,467	1,108,467
	655,586	845,673	829,781	1,125,587	3,456,627

27. WEIGHTED AVERAGE EFFECTIVE INTEREST RATE

The following table summarises the weighted average effective interest rates at the year end on the principal interest-bearing investments.

	2008 %	2007 %
Treasury bills	9	7
Treasury bonds	13	11
Mortgage loans and commercial papers	9	6
Deposits with financial institutions	9	6
Policy loans	14	14



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

		Company	Group	
28. OTHER RECEIVABLES	2008	2007	2008	2007
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Debtors and prepayments	2,718	2,098	32,329	64,691
Amounts due from related parties(note 39)	28,628	27,416	427	4,885
Rent outstanding	-	-	5,962	8,847
Plot debtors	6,798	14,949	6,798	14,949
Impairment of plot debtors	(3,131)	(3,131)	(3,131)	(3,131)
Other non-current assets	432	-	28,105	8,728
At 31 December	35,445	41,332	70,490	98,969

29. PRIOR YEAR ADJUSTMENT

The prior year adjustment arose from restatement of the associate's reported earnings and current income tax for the year 2007. Amounts reported in the financial statements have been restated as follows:

	As reported at 31 December 2007 KShs.'000	Adjustment KShs.'000	As restated at 31 December 2007 KShs.'000
ASSETS			
Investment in associate	648,748	(813)	647,935
Current income tax	-	(38,004)	(38,004)
SHARE CAPITAL AND RESERVES			
Retained earnings	700,968	(813)	700,155
Transfer from life funds	(170,322)	(38,004)	(208,326)
INCOME STATEMENT			
Share of results of associated company	1,394	(813)	581
Income tax charge	(2,536)	(38,004)	(40,540)

30. EARNINGS PER SHARE

The following reflects the income and share data used in the basic and diluted earnings per share computation

	2008 KShs.'000	2007 KShs.'000
Net (loss)/profit attributable to ordinary shareholders for basic and diluted earnings	(90,344)	147,672
	2008 Thousands	2007 Thousands
Weighted average number of ordinary shares for basic earnings per share	48	48
Basic earnings per ordinary share KShs.	(1.88)	3.08
Diluted earnings per ordinary share KShs.	(1.88)	3.08

There have been no other transactions involving ordinary shares between the reporting date and date of completion of these financial statements

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

31. INSURANCE CONTRACT LIABILITIES

Class of insurance business

	Total	Insurance Contracts 2008	Investment Contracts	Total	Insurance Contracts 2007	Investment Contracts
	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000
Net premium	2,396,675	2,318,094	78,580	1,892,326	1,833,671	58,655
Gross	2,588,612	2,510,032	78,580	2,129,089	2,070,434	58,655
Reinsurance	(191,938)	(191,938)	-	(236,763)	(236,763)	-
Investment Income	237,297	236,929	368	410,712	387,663	23,049
Investment Income	303,497	300,555	2,942	423,586	395,093	28,493
Investment expenses	(66,200)	(63,625)	(2,574)	(12,874)	(7,430)	(5,444)
	-					
Total Income	2,633,972	2,555,024	78,948	2,303,038	2,221,334	81,704
	-			-		
OUT GO	(2,118,303)	(2,098,386)	(19,916)	(1,391,398)	(1,386,392)	(5,006)
Benefit payment	(1,089,053)	(1,069,137)	(19,916)	(451,507)	(446,543)	(4,964)
Expenses	(807,659)	(807,659)	-	(764,357)	(764,315)	(42)
Profit & Loss Account	(221,590)	(221,590)	-	(175,534)	(175,534)	-
	-			-		
Increase in the fund	515,669	456,638	59,032	911,640	834,942	76,698
Fund at the beginning of the year	3,530,303	3,236,930	293,373	2,618,663	2,401,988	216,675
Fund at the end of the year	4,045,972	3,693,568	352,405	3,530,303	3,236,930	293,373
Maturity analysis of investment policy contracts 2008						
KShs. '000						
		< 1 year	1-5 years	>5 years	open ended	Total
Linked and market-related liabilities		-	-	-	352,403	352,403
Total investment policies		-	-	-	352,403	352,403
2007						
KShs. '000						
Linked and market-related liabilities		-	-	-	293,772	293,772
Total investment policies		-	-	-	293,772	293,772
Maturity analysis of insurance contracts 2008						
KShs. '000						
		< 1 year	1-5 years	>5 years	open ended	Total
Linked and market-related liabilities		44,013	550,747	1,176,488	-	1,771,248
Reversionary bonus policies		109,274	524,563	341,803	-	975,641
Other non-participating liabilities		184,009	347,833	61,364	353,472	946,679
Total insurance policies		337,297	1,423,143	1,579,656	353,472	3,693,567



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

31. INSURANCE CONTRACT LIABILITIES (Continued)

Maturity analysis of insurance contracts (continued)

2007

KShs. '000

	< 1 year	1-5 years	>5 years	open ended	Total
Linked and market-related liabilities	90,791	261,138	1,167,890	-	1,519,818
Reversionary bonus policies	61,832	540,211	457,711	59,523	1,119,278
Other non-participating liabilities	8,979	299,056	34,106	255,687	597,829
Total insurance policies	161,601	1,100,405	1,659,708	315,210	3,236,924

32. INTEREST AND BONUS DECLARATION

INVESTMENT CONTRACTS

The liabilities of the company in respect of funds managed under deposit administration contracts are shown inclusive of interest accumulated to 31 December. Interest was declared and credited to the customer accounts at a weighted average rate of 10% (2007:11%).

INSURANCE CONTRACTS

The insurance contract liabilities are shown gross of bonus declaration. Bonus to with profit policies was declared and credited as follows

	2008	2007
Revisionary bonus	2.5%	2.5%
Terminal bonus	2.5%	2.5%

Revisionary bonus vest immediately while terminal bonus vest after 8 years or earlier on maturity.

33. OTHER PAYABLES

Rent deposits	-	-	-	18,504
Amount due to related parties(note 39)	101,738	290,316	11,087	33,560
Warranties	-	-	28,018	28,018
Unclaimed dividends	43,412	25,839	43,412	25,839
Provision for outstanding claims on discontinued operations	-	-	67,381	53,381
Provision for guarantees on discontinued operations	-	-	43,904	43,904
Other creditors and accruals	91,037	101,389	432,125	530,860
	236,187	417,544	625,927	734,066

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

34. CONTINGENT LIABILITIES- GROUP

The Group companies are defendants to legal proceedings filed against them by third parties. Unverified claims have also been placed against the former Pan Africa Insurance Company Limited. The directors are of the opinion that the outcome of these proceedings and claims will not have a material impact on the financial position of the Group.

	2008	2007
	KShs.'000	KShs.'000
35. CAPITAL COMMITMENTS - GROUP		
Property and equipment	-	-
Operating lease commitments:		
The future minimum lease payments under non-cancellable operating leases are as follows:		
	2008	2007
	KShs.'000	KShs.'000
Not later than 1 year	6,475	5,269
Later than 1 year but not later than 5 years	20,447	23,005
	26,922	28,274

36. CASH AND CASH EQUIVALENTS - GROUP

For the purposes of the cash flow statement, cash and cash equivalents comprise the following:

	2008	2007
	KShs.'000	KShs.'000
Cash and bank balances	73,247	62,670
Deposits with financial institutions	830,417	1,054,350
	903,664	1,117,020

37. DIVIDENDS PAID AND PROPOSED

	2008	2007
	KShs.'000	KShs.'000
Declared and paid during the year		
Equity dividends on ordinary shares:		
Final dividend for 2007: 160 cents (2006: 144 cents)	76,800	69,120
Total dividends paid in the year	76,800	69,120
Proposed for approval at AGM (not recognised as a liability as equity dividends on ordinary shares: at 31 December):		
Final dividend for 2008: Nil (2007: 160 cents)	Nil	76,800



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

38. CASH GENERATED FROM OPERATIONS

	2008 KShs.'000	2007 KShs.'000
Reconciliation of profit before income tax to cash generated from operations:		
Profit before income tax	175,630	137,945
Adjustments for:		
Interest income	(282,373)	(240,071)
Impairment provision on mortgage and policy loans	-	-
Fair value (gain)/loss on investment property	(116,729)	(15,500)
Quoted shares	221,272	(119,288)
Treasury Bonds	20,435	(44,321)
Corporate Bonds and Commercial paper	-	(2,673)
Depreciation (note 13)	27,464	22,316
Profit on disposal of property and equipment	(1,111)	(1,290)
Share of results of associated company before income tax	(123,129)	(1,394)
Changes in:		
Receivable from direct insurance arrangements	(112,425)	(76,389)
Receivable from direct reinsurance	6,837	(15,329)
Other receivables	830	97,844
Land and development	(40,792)	(7,907)
Actuarial value of policyholder liabilities	456,643	834,936
Payable under deposit administration contracts	59,032	63,715
Technical provisions	20,270	19,724
Payable under direct reinsurance arrangements	(24,024)	26,418
Other payables	(188,945)	203,132
Cash generated from operations	98,855	881,868

39. RELATED PARTY TRANSACTIONS

(a) Mortgage loans to former directors and companies related to them.

(i) Loans at concessionary rates:

Principal amount	8,927	6,036
Interest on loans	304	(38)
	9,231	5,998

(ii) Loans at market rates:

Principal amount	10,661	10,661
Interest on loans	3,258	3,258
	13,919	13,919

The amounts in (i) and (ii) above relate to loans to directors who relinquished their directorships in July 2001.

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

39. RELATED PARTY TRANSACTIONS (Continued)

			2008 KShs.'000	2007 KShs.'000
(b) Mortgage loans to current directors at concessionary rates				
Principal amount			-	3,166
(c) Amounts due from related parties:	Company	Group		
	2008	2007	2008	2007
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
African Life Assurance Company Limited	-	-	-	553
APA Insurance Limited	-	-	-	1,141
Sanlam Limited	-	-	-	-
Runda Water Limited	16	16	-	16
PA Securities Limited	28,612	27,400	-	-
Staff	-	-	-	536
Hubris Holdings Limited	-	-	427	2,639
Former directors and staff	-	-	-	-
	28,628	27,416	427	4,885
(d) Amounts due to related parties:				
African Life Assurance Company Limited	-	-	5,212	5,664
APA Insurance Limited	-	-	-	-
Pan Africa Life Assurance Limited	39,111	226,498	-	-
SIM (K) Limited	-	1,167	5,875	25,959
Mae properties Limited	62,627	62,627	-	-
Runda Water Limited	-	-	1,913	-
Former directors and staff	-	24	-	24
	101,738	290,316	11,087	33,560
(e) Key management compensation				
Salaries and other short-term employment benefits			70,589	59,865
Long term benefits incentive			29,315	-
Termination benefits			12,474	-
Post-employment benefits			6,579	9467
			118,957	69,332
(f) Directors' remuneration				
Other emoluments (included in (e) above)			-	30,900
Fees			4,993	6,646
(g) Directors' pension				
The Company does not cater for any director's pension.				



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For The Year Ended 31 December 2008

40. CAPITAL MANAGEMENT

The effective management of Pan Africa Insurance Holdings Limited capital base is an essential component of meeting the Group's strategic objective of maximising shareholder value. The capital value used by the Group as the primary performance measurement base is the Group Embedded Value, as reported on pages 9 to 12. The Group Embedded Value is the aggregate of the following components:

- (i) The embedded value of covered business, which comprises the long-term required capital supporting these operations and their net value of in-force business (refer embedded value report on page 9);
- (ii) The fair value of other Group operations, which includes the land and property development, capital markets and short-term insurance

The management of the Group's capital base requires a continuous review of optimal capital levels, including the use of alternative sources of funding, to maximise return on Group Embedded Value. The Group has an integrated capital and risk management approach. The amount of capital required by the various businesses is directly linked to their exposure to financial and operational risks. Risk management is accordingly an important component of effective capital management.

a) Capital allocation methodology

Group businesses are each allocated an optimal level of capital and are measured against appropriate return hurdles.

The following methodology is used to determine the allocation of long-term required capital to the covered business:

The level and nature of the supporting capital is determined by minimum regulatory capital requirements as well as economic, risk and growth considerations. Regulatory capital must comply with specific requirements of the Insurance Act and Kenya Companies Act. A deterministic modelling process is used to determine the long-term required capital levels.

The fair value of other Group operations includes the working capital allocated to the respective operations. The Group's approach to ensure appropriate working capital levels is two fold:

- (i) The Group dividend policy is based on the annual declaration of all discretionary capital that is not required for normal operations or expansion; and

- (ii) Performance targets are set for other Group operations based on an expected return on the fair value of the businesses, equal to their internal hurdle rates. This ensures that all non-productive working capital is declared as a dividend to the Group.

b) Capital management

Long-term required capital – covered business

The Group's covered business requires significantly higher levels of allocated capital than the other Group operations. The optimisation of long-term required capital is accordingly a primary focus area of the Group's capital management philosophy given the significant potential to enhance shareholder value.

The following main strategies are used to achieve this objective:

- (i) Appropriate matching of assets and liabilities for policyholder solutions. This is especially important for long-duration policyholder solutions that expose the Group to interest rate risk, e.g. non-participating annuities, but also for participating business where asset/liability matching and investment strategy have a direct impact on capital requirements.
- (ii) Managing the impact of new business on capital requirements by limiting volumes of capital-intensive new business per business.
- (iii) The asset mix of the long-term required capital also impacts on the overall capital requirement. An increased exposure to interest-bearing instruments reduces the volatility of the capital base and accordingly also the capital requirement. The expected investment return on these instruments are however lower than equity with a potential negative impact on the return on Group Embedded Value. There is accordingly a trade-off between lower capital levels and the return on capital. The Group's stochastic capital model is used to determine the optimal asset mix that will ensure the highest return on capital.
- (iv) Certain of the Group's investments in other Group operations qualify, to a varying degree, to be utilised as regulatory capital for the covered business. Maximum capital efficiency can therefore be achieved by optimising the level of such investments held in the life companies' regulatory capital.

The Group continues to improve and further develop its capital management models and processes in line with

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For The Year Ended 31 December 2008

international best practice and the current significant international developments surrounding solvency and capital requirements (for example the Solvency II initiative in the European Union).

Other Group operations

The performance measurement of other Group operations is based on the return achieved on the fair value of the businesses. Risk adjusted return targets are set for the businesses to ensure that each business' return target takes cognisance of the inherent risks in the business. This approach ensures that the management teams are focused on operational strategies that will optimise the return on fair value, thereby contributing to the Group's main objective of optimising return on Group Embedded Value.

Audit Committee

The Audit Committee is responsible for reviewing and overseeing the management of the Group's capital base in terms of the specific strategies approved by the Board.

c) Discretionary capital

Any capital in excess of requirements, and not optimally utilised, is identified on a continuous basis. The pursuit of structural growth initiatives has been set as the preferred application of Group capital, subject to such initiatives yielding the applicable hurdle rate and being complementary to or in support of Group strategy. Any

discretionary capital not being efficiently redeployed will be returned to shareholders in the most effective form.

41. RISK MANAGEMENT

a) Governance structure

In terms of the Group's overall governance structure, the meetings of the Pan Africa Insurance Holdings Limited, Pan Africa Life Assurance Limited and PA Securities Limited are combined to improve the flow of information and to increase the efficiency of the Boards. The agenda of the Board focuses on Group strategy, capital management, accounting policies, financial results, dividend policy, human resource development and corporate governance, CMA and NSE requirements. The Pan Africa Life Assurance Board is responsible for statutory matters across all Pan Africa Insurance Holdings Limited businesses as well as monitoring operational efficiency and risk issues throughout the Group.

The Group operates within a decentralised business model. In terms of this philosophy, the Pan Africa Insurance Holdings Limited Board sets the Group risk management policies and frameworks while the individual businesses take responsibility for all operational and risk-related matters on a business level, within the limits set by these policies and frameworks. The following diagram generically depicts the flow of risk management information from the individual businesses to the Pan Africa Insurance Holdings Limited Board.





Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT(Continued)

A number of other risk monitoring mechanisms are operating within the Group as part of the overall risk management structure. The most important of these are illustrated in the following table.

OTHER RISK MONITORING MECHANISMS

Capital Management

Reviews and oversees the management of the Group's capital base

Asset and Liability Match

Determines appropriate investment policies and guidelines for policyholder portfolios where guarantees are provided

Compliance

Facilitates management of compliance through analysing of statutory and regulatory requirements, and monitoring implementation and execution thereof

Group Risk Forum

Aids co-ordination and transfer of knowledge between businesses and the Group, and assists Group Risk Management in identifying risks requiring escalation to the Pan Africa Insurance Holdings Limited Board

Non-listed Assets

The Audit Committee reviews and approves the valuation of all unlisted assets in the Group for recommendation to the Pan Africa Insurance Holdings Limited Board

General Manager - Finance

Ensures that sound financial practices are followed, adequate and accurate reporting occurs, and financial statement risk is minimised

Actuarial

Monitors and reports on key risks affecting the life insurance operations. Determines capital requirements of the life insurance operations and the potential impact of strategic decisions thereon, by using appropriate modelling techniques

Group Legal and Secretarial

Reviews and reports on corporate governance practices and structures. Reports on applicable legal and compliance matters

Sanlam Forensics

Investigates and reports on fraud and illegal behaviour in businesses

Investment Committee

Determines and monitors appropriate investment strategies for policyholder solutions

IT Risk Management

Manages and reports Group-wide IT risks

Risk Officer

Assists business management in their implementation of the Group risk management process, and to monitor the business' entire risk profile

Internal Audit

Assists the Pan Africa Insurance Holdings Limited Board and management by monitoring the adequacy and effectiveness of risk management in businesses

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

a) Group risk policies and guidelines

All risks are managed in terms of the policies and guidelines of the Board and its committees. Some of the main policies are:

- (i) The Group Strategic Risk Management (SRM);
- (ii) Group Risk Escalation Policy (REP);
- (iii) Group Business Continuity Policy (BCP);
- (iv) Group Information and Information Technology (I & IT) Risk Management Policy (ITRMP); and
- (v) Group Investment Policy

SRM, REP, BCP and ITRMP policies were developed by Sanlam Group Risk Management and have been implemented by all Group businesses. The maturity of the implementation within the Group does, however, vary from business to business due to different cost/benefit scenarios, complexity of risks and the degree of risk integration. At the quarterly Pan Africa Insurance Holdings Limited Board, risk management reports are tabled that must also indicate the extent of compliance with the Sanlam Risk Management Policy.

The aim of the Group Escalation Policy is to ensure that key risks and risk events in any business in the Group are reported to the appropriate governance level. The Group Business Continuity Policy ensures that effective vertical and horizontal recovery abilities, consistent with business priorities, exist across the Group, to deal with disasters and related contingencies. The Pan Africa Insurance Holdings Limited Group Strategic Risk Management is briefly summarised below:

Pan Africa Insurance Holdings Limited Group Strategic Risk Management

Definition

SRM is a high-level over-arching approach to ensure that:

- (i) All risks which could jeopardise or enhance achievement of the Group's strategic goals are identified;
- (ii) Appropriate structures, policies, procedures and practices are in place to manage these risks;
- (iii) Sufficient organisational resources are applied

to, and corporate culture is fully supportive of, the effective implementation of these structures, policies, procedures and practices;

- (iv) The organisation's risks are indeed being managed in accordance with the foregoing; and
- (v) The impact of strategic decisions on the risk-adjusted return on Group Embedded Value is considered by way of appropriate modelling techniques prior to such decisions being implemented.

Objective

The primary objective of SRM is to optimise the Group's risk-adjusted return on Group Embedded Value.

Philosophy

SRM is achieved by:

- (i) Applying a decentralised philosophy, in that the individual businesses are responsible for the identification of risks in their business and to apply appropriate risk management. Only significant risks are escalated to the Pan Africa Insurance Holdings Limited Group level, in accordance with the Group Risk Escalation Policy (mentioned above). This policy guides the businesses to assess the impact of the risk (on a scale of insignificant to catastrophic), type of risk (on a scale of unlikely to already occurred/highly probable), and accordingly to determine the role players to whom the risk should be reported (from the Risk Officer of the business to the chairman of the Audit and Risk Committee).
- (ii) Implementing maximum loss limits, by using measures such as "value at risk", long-term solvency requirements, capital adequacy requirements and sensitivities on return on embedded value/value of new business; and
- (iii) Clearly defining and documenting the business's risk appetite, being the degree of uncertainty that a business is willing to accept in pursuit of its goals, and describing it both qualitatively and quantitatively.

Risk is inherent in doing business, and includes all of the uncertain consequences of business activities that could prevent Pan Africa Insurance Holdings Limited from achieving its strategic goals. Pan Africa Insurance Holdings Limited SRM process is aimed at managing three elements of risk:



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

- (i) Opportunity: managing risk on the upside as an "offensive" function; focusing on actions taken by management to increase the probability of success and decrease the probability of failure.
- (ii) Hazard: managing risk on the downside as a "defensive" function; focusing on the prevention or mitigation of actions that can generate losses; and
- (iii) Uncertainty: managing the uncertainty associated with risk, focusing on achieving overall financial performance that falls within a defined acceptable range.

Process

Each business has a documented process that links into the business's normal management process and includes:

- Strategic organisational and risk management context:
 - o Strategic context (defining the business's strengths, weaknesses, opportunities and threats relative to its environment),
 - o Organisational context (understanding the business's goals, strategies, capabilities and values),
 - o Risk management context (setting of scope and boundaries),
- Developing risk evaluation criteria, defining a logical framework for risk identification, establishing a risk identification process, analysing the risks identified, evaluating the risks against established risk criteria, deciding on the appropriate action and communication, with the aim of continuous management and improvement.

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

b) Risk Types

The Group is exposed to the following main risks:

	Risk type	Description	Potential significant impact
General Risks	Operational	Operational risk is the risk that there is a loss as a result of inadequate or failed internal processes, people or systems and external events. Operational risk includes:	All Group businesses
		Information and technology risk: the risk of obsolescence of infrastructure, deficiency in integration, failures/inadequacies in systems/networks and the loss of accuracy, confidentiality, availability and integrity of data.	
		Going concern/business continuity risk: the risk that inadequate processes, people, financial controls and resources exist to continue business in the foreseeable future.	
		Legal risk: the risk that the Group will be exposed to contractual obligations which have not been provided for.	
		Compliance risk: the risk of not complying with laws and regulations, as well as investment management mandates.	
		Fraud risk: the risk of financial crime and unlawful conduct occurring within the Group.	
General Risks	Taxation	Taxation risk is the risk of financial loss due to changes in tax legislation that result in the actual tax on shareholders' fund earnings being higher than expected, with a corresponding reduction in return on Group Embedded Value; or the actual policyholder tax being higher than that assumed in the determination of premium rates and guaranteed policy benefits.	All Group businesses
	Reputational	Reputational risk is the risk that the actions of a business (e.g. the treatment of clients, employment equity and social responsibility) harm its reputation and brand.	All Group businesses
	Legislation	Legislation risk is the risk that unanticipated new acts or regulations will result in the need to change business practices that may lead to financial loss.	All Group businesses
	Strategic	Strategic risk is the risk that the Group's strategy is inappropriate or that the Group is unable to implement its strategy.	All Group businesses
Financial And Business-Specific Risks	Market	Market risk is the risk that the value of a financial instrument will fluctuate as a result of changes in the market: Market risk includes:	Life insurance Capital markets Short-term insurance
		Equity risk: the risk that the value of a financial instrument will fluctuate as a result of changes in equity prices.	
		Interest rate risk: the risk that the value of an unmatched financial instrument will fluctuate as a result of changes in interest rates and the risk that mismatch losses will be incurred in respect of a matched asset/liability position following changes in interest rates.	
		Currency risk: the risk that the Kenya Shillings value of a financial instrument or liability will fluctuate owing to changes in foreign exchange rates.	
		Property risk: the risk that the value of investment properties will fluctuate as a result as a of changes in the environment.	Life insurance
	Credit	Credit risk arises from the inability or unwillingness of a counterparty to a financial instrument to discharge its contractual obligations. Credit risk includes:	Life insurance Capital markets Short-term insurance
		Reinsurance risk: concentration risk with individual reinsurers, due to the nature of the reinsurance market and the restricted range of reinsurers that have acceptable credit ratings.	
	Liquidity	Liquidity risk is the risk relating to the difficulty/inability to accessing/raising funds to meet commitments associated with financial instruments or policy contracts.	Life insurance Capital markets
	Insurance	Insurance risk includes:	Life insurance Short-term insurance
		Underwriting risk: the risk that the actual experience relating to mortality, disability and medical risks will deviate negatively from the expected experience used in the pricing of solutions and valuation of policy liabilities.	
		Persistency risk: the risk of financial loss due to negative lapse, surrender and paid-up experience.	
		Expense risk: the risk of loss due to actual expense experience being worse than that assumed in premium rates and the valuation of policy liabilities.	
		Concentration risk: the risk of financial loss due to having written large proportions of business with policyholders of the same/similar risk profile.	
	Capital adequacy	Capital adequacy risk is the risk that there are insufficient assets to provide for variations in actual future experience, worse than that which has been assumed in the valuation bases.	Life insurance



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41. RISK MANAGEMENT (Continued)

c) Risk management

Operational risk

The Group mitigates this risk through its culture and values, a comprehensive system of internal controls, internal audit, forensic and compliance functions and other measures such as back-up facilities, contingency planning and insurance. The initiation of transactions and their administration is conducted on the basis of the segregation of duties, designed to ensure the correctness, completeness and validity of all transactions.

The management of risks associated with human resources is addressed in the Corporate Governance Report.

The following functionaries assist in mitigating operational risk:

Internal audit

A board-approved internal audit charter governs internal audit activity within the Group. A regular risk-focused review of internal control and risk management systems is carried out, and has unrestricted access to the Chairman of the Committee and the Pan Africa Insurance Holdings Board. The authority, resources, scope of work and effectiveness of the functions are reviewed regularly.

External audit

The Group's external auditors are Ernst & Young. The report of the independent auditors for the year under review is contained on page 6 to 7 of this annual report. The external auditors provide an independent assessment of systems of internal financial control and express an independent opinion on the annual financial statements. Non-audit services rendered by the external auditors are strictly governed by a Group policy in this regard.

External consultants

Sanlam Risk Management Unit performs an annual review of the Group's risk management processes. The purpose of this review is to continuously identify potential areas for improved risk management in line with developing international best practice.

e) Information and technology risk

The "Group Information and Technology (I&IT) Risk

Management Policy" is authorised and ratified by the Group Executive Committee. It stipulates the role of the Information and IT Risk manager that each business is responsible for appointing. Furthermore, it provides a framework of IT risk management, the methods of reporting, assessment and action, appropriate documentation and management of all risk-related IT incidents that have occurred, timing of communication and liaison with other functions in the Group.

Reliance on and the continuous availability of IT systems and processes are inherent to the nature of the Group's operations. An important objective of the Group Information and Technology Risk Management Policy is accordingly to ensure that the Group's IT resources and platforms are maintained and developed in line with changes in the Group's businesses environment and requirements, and that proper back-up processes and disaster recovery measures are in place.

f) Going concern / business continuity risk

The Board regularly considers and records the facts and assumptions on which it relies to conclude that Pan Africa Group Entities will continue as a going concern. Reflecting on the year under review, the directors considered a number of facts and circumstances and are of the opinion that adequate resources exist to continue business in the foreseeable future and that Pan Africa Group Entities will remain a going concern in the year ahead. The Board's statement to this effect is also contained in the statement on the responsibility of directors in the annual financial statements.

g) Legal risk

During the development stage of any new product and for material transactions entered into by the Group, the legal resources of the Group monitor the drafting of the contract documents to ensure that rights and obligations of all parties are clearly set out. Pan Africa Insurance Holdings Limited seeks to minimise uncertainties through continuous consultation with internal and external legal advisers, to understand the nature of risks and to ensure that transactions are appropriately structured and documented.

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

h) Compliance risk

Laws and regulations:

Pan Africa Insurance Holdings Limited considers compliance with applicable laws, industry regulations and codes an integral part of doing business. The Group compliance function facilitates the management of compliance through the analysis of statutory and regulatory requirements, and monitoring the implementation and execution thereof.

Compliance with Investment mandates:

The Investment Committee reviews compliance to Investment mandates on a quarterly basis. When a possible breach is detected, the fund manager is requested to confirm whether a breach has taken place, to explain the reason for the breach and indicate when it will be rectified (which is expected to be as soon as possible). Further action may be taken, depending on the type of breach. The detailed results of the mandate monitoring process are discussed with the Fund Managers on a monthly basis.

i) Fraud risk

Pan Africa Insurance Holdings Limited recognises that financial crime and unlawful conduct are in conflict with the principles of ethical behaviour, as set out in the Group's code of ethics, and undermines the organisational integrity of the Group. The financial crime combating policy for the Pan Africa Insurance Holdings Limited group is designed to counter the threat of financial crime and unlawful conduct. A zero-tolerance approach is applied in combating financial crime and all offenders will be prosecuted. The forensic services function at Group level oversees the prevention, detection and investigation of incidents of unlawful conduct that are of such a nature that they may have an impact on the Group.

The head of each business unit is responsible for the implementation of the policy in his or her respective business and is accountable to the Group Chief Executive and the Board of Pan Africa Insurance Holdings Limited. Quarterly reports are submitted by Group Forensic Services to the Pan Africa Insurance Holdings Limited Audit committee on the incidence of financial crime and

unlawful conduct in the Group and on measures taken to prevent, detect, investigate and deal with such conduct.

j) Taxation risk

The risk is addressed through clear contracting to ensure that policy contracts entitle policyholders to after-tax returns, where applicable. The Group's internal tax resources monitor the impact of changes in tax legislation, participate in discussions with the tax legislator to comment on changes in legislation and are involved in the development of new products. External tax advice is obtained as required.

k) Reputational risk

Actions with a potential reputational impact are escalated to the appropriate level of senior management. The Audit committee and board of directors are involved as required. Events with an industry-wide reputational impact are addressed through industry representative groups.

l) Legislation risk

Legislation risk is mitigated by ensuring that the Group has dedicated personnel that are involved in and therefore informed of relevant developments in legislation. The Group takes a pro-active approach in investigating and formulating views on all applicable issues facing the financial services industry. The risk is also managed as far as possible through clear contracting. The Group monitors and influences events to the extent possible by participation in discussions with legislators, directly and through industry organisations.

m) Strategic risk

The Group's governance structure and various monitoring tools in place ensure that any events that affect the achievement of the Group's strategy are escalated and addressed at the earliest opportunity. The Board has no tolerance for any breach of guidance.

Group strategy is addressed on a continuous basis at various forums within the Group, the most important of which are:



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

- The Group's strategic direction and success is discussed and evaluated at an annual strategic session of the Pan Africa Insurance Holdings Limited Board as well as at the scheduled Board meetings during the year;
- As part of the annual budgeting process, the Group businesses present their strategic plans and budgets to the Pan Africa Insurance Holdings Limited Executive Committee, who ensures that the businesses' strategies are aligned with the overall Group strategy; and
- The Pan Africa Insurance Holdings Limited Executive Committee, which includes the chief executive of the various Group businesses, meets on a regular basis to discuss, among others, the achievement of the businesses' and Group's strategies. Any strategic issues are identified at these meetings and corrective actions are immediately implemented.

n) Risk management - life insurance

The Group's life insurance business is exposed to financial risk through the design of some policyholder solutions, and in respect of the value of the businesses' capital. Non-participating policyholder solutions and those that provide investment guarantees, such as market-related business, stable and reversionary bonus business and non-participating annuity business, expose the life insurance businesses to financial risk. Other business, such as linked policies (where the value of policy benefits is directly linked to the fair value of the supporting assets) does not expose the life insurance business to financial risk as this risk is assumed by the policyholder. The life insurance business' capital is invested in financial instruments and properties, which also exposes the businesses to financial risk, in the form of market, property, credit and liquidity risk. The management of these risks is described below.

o) Market risk – policyholder solutions

Equity risk

Linked and market-related business

Linked and market-related business relates to contracts where there is a direct relationship between the returns earned on the underlying portfolio and the returns credited

to the contract. Policyholders carry the full market risk in respect of linked business. Market-related policies however, provide for guaranteed minimum benefits at death or maturity, and therefore expose the life insurance business to market risk.

The risk relating to guaranteed minimum benefits is managed by appropriate investment policies, determined by the Actuarial committee, and by adjusting the level of guarantees for new policies to prevailing market conditions. These investment policies are then reflected in the investment guidelines for the policyholder portfolios. Pan Africa Insurance Holdings Limited does not include a specific provision for investment guarantees as the guarantees are already provided for in the pricing of the products i.e. the premium payable already includes a provision for guarantees.

Stable, reversionary bonus and participating annuity business (smoothed-bonus business)

These policies provide for the payment of an after-tax and after-cost investment return to the policyholder, in the form of bonuses. The use of bonuses is a mechanism to smooth returns to policyholders in order to reduce the effects of volatile investment performance, and bonus rates are determined in line with the product design, policyholder reasonable expectations, affordability and the approved bonus philosophy. Any returns not yet distributed are retained in a bonus stabilisation reserve, for future distribution to policyholders. In the event of adverse investment performance, this reserve may become negative. Negative bonus stabilisation reserves are allowed for in the valuation of these liabilities to the extent that the shortfall is expected to be recovered by declaring lower bonuses in the subsequent three years. The funding level of portfolios is bolstered through loans from shareholders in instances where negative stabilisation reserves will not be eliminated by these management actions. At 31 December 2007, all stable and reversionary bonus business portfolios had a funding level in excess of 79%.

Equity risk is borne by policyholders to the extent that the after-tax and after-cost investment return is declared as bonuses. The capital portfolio is however exposed to some equity risk as an under performance in equity markets may result in an under funded position that

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

will require financial support by the capital portfolio. The Group manages this risk through an appropriate investment policy. Actuarial committee oversees the investment policy for the various smoothed-bonus portfolios. The aim is to find the optimum balance between high investment returns (to be able to declare competitive bonus rates) and stable investment returns given the need to meet guaranteed benefits and to support the granting of stable bonus rates. The requirements for the investment management of each portfolio are set out in investment guidelines, which cover, inter alia, the following:

- Limitations on exposure to volatile assets;
- The benchmarks for the performance measurement of each asset class and limits on deviations from these benchmarks;
- Credit risk limits;
- Limits on asset concentration – with regard to strategic investments, the exposure of policyholders' portfolios to these investments is based on portfolio investment considerations and restricted with reference to a specific counter's weight in the benchmark portfolio;o)

Market risk – policyholder solutions (Continued)

- Limits on exposure to some particular types of assets, such as unlisted equities, property and hedge funds; and
- Regulatory constraints.

Feedback on the investment policy and its implementation and the performance of the smoothed-bonus portfolios is provided quarterly to the Pan Africa Insurance Holdings Limited Board.

p) Interest rate risk

Linked and market-related business

The life business is exposed to interest rate risk to the extent that guaranteed minimum benefits at death or maturity are provided. Refer to equity risk on page 50 for the management of market risk in respect of these policies.

Stable, reversionary bonus and participating annuity business (smoothed-bonus business)

The life business is exposed to interest rate risk to the

extent that changes in interest rates result in negative stabilisation reserves that cannot be eliminated through the smoothed-bonus management action philosophy. In these circumstances the life insurance businesses will have to provide support to the policyholders' portfolios.

Guarantee plans

Our Flexisaver and FlexiEducator policies provide for guaranteed maturity amounts. The life insurance business is therefore exposed to interest rate risk, if the assets backing these liabilities do not provide a comparable yield to the guaranteed value.

Interest rate risk is managed by matching the liabilities with assets that have similar investment return profiles as the liabilities.

q) Currency risk

The majority of currency exposure within the policyholder portfolios results from offshore assets held in respect of linked and smoothed bonus business. Offshore exposure within these portfolios is desirable from a diversification perspective.

r) Property risk

The majority of the investment properties are held in respect of market-related and non-participating policyholder business as well as smoothed-bonus business. Refer to Equity Risk above for a description on how the risks associated with these types of business are managed.

s) Market risk – capital

Comprehensive measures and limits are in place to control the exposure of the life insurance businesses' capital to market risk. Continuous monitoring takes place to ensure that appropriate assets are held in support of the capital and investment return targets. Limits are applied in respect of the exposure to asset classes and individual counters.

Equity & interest rate risk

The capital is invested in equities and interest-bearing instruments that are valued at fair value and are therefore susceptible to market fluctuations. Investments in listed subsidiaries are reflected at net asset value based on the market value of the underlying investments.



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

Currency risk

The exposure of the capital to currency risk is for the purpose of seeking international diversification of investments.

Property risk

The capital portfolio has limited exposure to investment properties and accordingly the related property risk. Diversification in property type, geographical location and tenant exposure are all used to reduce the risk exposure.

t) Market risk – sensitivities

Sensitivities that illustrate the effect of changes in investment return assumptions on the value of in-force (VIF) business are disclosed on page 20. The change in VIF relative to the base value is an indication of how the present value of future after-tax profits (including the allowance for the cost of capital at risk) are impacted based on these assumptions.

If investment return (and inflation) assumptions were to decrease by 1%, coupled with a 1% decrease in risk discount rates, and with bonus rates changing commensurately, the impact on the present value of future after-tax profits would be a decrease of KShs. 25.3 million (2006: decrease of KShs. 22.6 million).

u) Credit risk – policyholder solutions & capital

Pan Africa Insurance Holdings Limited recognises that a sound credit risk policy is essential to minimise the effect on the Group as a result of loss due to a major corporate failure and the possible systemic risk such a failure could lead to. The Pan Africa Insurance Holdings Limited Investment Risk Policy and Strategy has been established for this purpose. Credit risk occurs due to trading, investment, structured transactions and lending activities. These activities in the Group are conducted mostly by Sanlam Investments (SIM) in terms of the investment guidelines granted to them by the Investment Committee. The Board of SIM has delegated responsibility for credit risk management to the Central Credit Committee.

The governance structures ensure that an appropriate credit culture and environment is maintained, such that no transactions are concluded outside areas of

competence, nor without following normal procedures. This credit culture is the product of a formal credit risk strategy and credit risk policy.

The credit risk strategy stipulates the parameters for approval of credit applications, such as: economic sector; risk concentration; maximum exposure per obligor, group, and industry; geographical location; product type; currency; maturity, anticipated profitability or excess spread; economic capital limits; and cyclical aspects of the economy.

All facilities are reviewed on at least an annual basis by the appropriate approval authority. Where possible, Pan Africa Insurance Holdings Limited interest is protected by obtaining acceptable security. Covenants are also stipulated in the loan agreements, specifying actions that are agreed to.

In addition to the above measures, the portfolios are also managed in terms of the investment guidelines of the life insurance operations, which place limits in terms of the lowest credit quality that may be included in a portfolio, the average credit quality of instruments in a portfolio as well as limits on concentration risk.

The Group is also exposed to credit risk in respect of its working capital assets. The following are some of the main credit risk management actions:

- Unacceptable concentrations of credit risk to groups of counter-parties, business sectors and product types are avoided by dealing with a variety of major banks and spreading debtors and loans among a number of major industries, customers and geographic areas.
- Long-term insurance business debtors are secured by the underlying value of the unpaid policy benefits in terms of the policy contract.
- Exposure to external financial institutions concerning deposits and similar transactions is monitored against approved limits.

v) Reinsurance risk

Pan Africa Insurance Holdings Limited makes use of reinsurance to:

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

- Access underwriting expertise;
- Access product opportunities;
- Enable it to underwrite risks greater than its own risk appetite; and
- Protect its mortality/risk book against catastrophes.

The use of reinsurance exposes the Group to credit risk. The counterparty risks of reinsurers are managed under the Group's credit risk framework. The Group's reinsurance arrangements include proportionate, excess and catastrophe coverage. All risk exposures in excess of specified monetary limits are reinsured. Catastrophe insurance is in place for single-event disasters. Credit risk in respect of reinsurance is managed by placing the Group's reinsurance only with subsidiaries of companies that have high international or similar credit ratings.

Maximum exposure to credit risk

The life insurance businesses' maximum exposure to credit risk is equivalent to the amounts recognised in the balance sheet, as there are no financial guarantees provided to parties outside the Group, nor are there any loan commitments provided that are irrevocable over the life of the facility (nor revocable only in adverse circumstances).

The following table summarises the overall maturity profile of the policyholder business:
Year ended 31 December 2008:

	1 Year KShs.'000	1-5 Years KShs.'000	>5 Years KShs.'000	Open ended KShs.'000	Total KShs.'000
Insurance contracts	337,267	1,423,143	1,579,656	353,471	3,693,567
Investment contracts				352,404	352,404
Total policy liabilities	337,267	1,423,143	1,579,656	705,875	4,045,971
Properties	-	-	-	374,500	374,500
Equities and similar securities	-	-	-	837,140	837,140
Public sector stocks and loans	353,102	790,298	1,082,587	-	2,225,987
Commercial paper and corporate bonds	-	295,850	-	-	295,850
Mortgages and policy loans	19,255	71,347	178,052	-	278,236
Cash, deposits and similar securities	1,115,013	-	-	-	1,115,013
Long-term reinsurance assets	30,630	-	-	-	30,630
Net working capital	(1,101,803)				(1,101,803))
Total policyholder assets	416,197		1.157.4951,260,639	1,211,640	4,045,971

The credit quality of each class of financial asset that is neither past due nor impaired, has been assessed as acceptable within the parameters used to measure and monitor credit risk, as described above. There are no assets that would have been past due or impaired, had the terms not been renegotiated.

w) Liquidity risk

Liquidity risk – policyholder solutions

Stable, reversionary bonus and participating annuity business (smoothed-bonus business)

These policyholder solutions do not expose the Group to significant liquidity risks. Expected cash flows are taken into account in determining the investment guidelines and asset spread of the portfolios. Limits are also placed on the exposure to illiquid investments.

Guarantee plans

Other policyholder business

Policyholder portfolios supporting linked and market-related business, participating annuities and other non-participating life business are invested in appropriate assets, taking into account expected cash outflows.



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

w) Liquidity risk (Continued)

Liquidity risk – policyholder solutions (Continued)

Maturity profile (Continued)

Year ended 31 December 2007:

	1 Year	1-5 Years	5 Years	Open ended	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Insurance contracts	161,601	1,100,405	1,659,708	315,210	3,236,924
Investment contracts	-	-	-	293,372	293,372
Total policy liabilities	161,601	1,100,405	1,659,708	608,582	3,530,296
Properties	-	-	-	224,000	224,000
Equities and similar securities	-	-	-	837,288	837,288
Public sector stocks and loans	270,837	685,627	743,041	-	1,699,505
Commercial paper and corporate bonds	41,069	-	-	-	41,069
Mortgages and policy loans	9,632	45,976	44,870	304,011	404,489
Cash, deposits and similar securities	931,961	-	-	-	931,961
Long-term reinsurance assets	57,737	-	-	-	57,737
Net working capital	(665,353)	-	-	-	(665,753)
Total policyholder assets	645,883	731,603	787,911	1,365,299	3,530,296

x) Insurance risk

Insurance risk arises from the writing of other non-participating life business, as these products are valued prospectively and therefore expose the long-term required capital to risk if actual experience differs from that which is assumed. The Group is however also exposed to persistency risk in respect of other policyholder solutions and insurance risk in respect of universal life solutions.

Underwriting risk

The Group manages underwriting risk through:

- Its product development process and underwriting policy to prevent anti-selection and ensure appropriate premium rates (loadings) for substandard risks;
- Adequate reinsurance arrangements to limit exposure per individual and manage concentration of risks;
- Claims handling policy; and
- Adequate pricing and reserving.

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

x) Insurance risk (Continued)

Quarterly full actuarial valuations and the Group's regular profit reporting process assist in the timely identification of experience variances. The following policies and practices are used by the Group as part of its underwriting strategy to mitigate underwriting risk:

Policies and practices: underwriting strategy

i)	All long-term insurance product additions and alterations are required to pass through the approval framework that forms part of the life insurance business' governance process. The statutory actuaries approve the policy conditions and premium rates of new and revised products;
ii)	Specific testing for HIV/Aids is carried out in all cases where the applications for risk cover exceed a set limit. Product pricing and reserving policies also include specific allowance for the risk of HIV/ Aids;
III)	Applications for risk cover are reviewed by experienced underwriters and evaluated against established standards. Retention limits are applied to limit the exposure per individual life;
iv)	Appropriate income replacement levels apply to disability insurance;
v)	The experience of reinsurers is used where necessary for the rating of substandard risks;
vi)	The risk premiums for Group risk business and some of the in-force individual risk business can be adjusted within 12 months should claims experience deteriorate to the extent that such an adjustment is considered necessary.
vii)	Risk profits are determined on a regular basis; and
viii)	Regular investigations into mortality and morbidity experience are conducted to ensure that corrective action, for example rerating of premiums, is taken where necessary.

Persistency risk

Distribution models are used by the Group to identify high-risk clients. Client relationship management programmes are aimed at managing client expectations and relationships to reduce lapse, surrender and paid-up rates. The design of insurance products excludes material lapse, surrender and paid-up value guarantees, subject to regulatory constraints, to limit financial loss at surrender. Persistency experience is monitored to ensure that negative experience is timeously identified and corrective action taken. The Group's reserving policy is based on the statutory required Net Premium Method which ensures that adequate provision is made for lapses, surrenders and paid-up policies.

Expense risk

Expenses are managed through the Group's budgeting process and continuous monitoring of actual expenses versus budgeted is conducted and reported on.

Claims risk

The risk that Pan Africa Insurance Holdings Limited may pay fraudulent claims (claims risk) is mitigated by employing highly trained client service staff to ensure that fraudulent claims are identified and investigated thoroughly. The legitimacy of claims is verified by internal, financial and operating controls that are designed to contain and monitor claims risks. The Sanlam forensic investigation team also advises on improvements to internal control systems.



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

(x) Insurance risk (Continued)

Claims risk (Continued)

The table below summarises the effect on the valuation of other non-participating life business, for possible changes in mortality and morbidity, lapse, expense and investment return assumptions.

	Base value	Assumption changes				
		Investment returns -1%	Expenses +10%	Expense inflation +1%	Lapse & Surrender rates +10%	Mortality & Morbidity +10%
	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000	KShs. '000
Year ended 2008						
Non-participating life business:						
Individual business	186,688	186,688	186,688	186,688	186,688	186,688
Employee benefits business	759,990	759,990	759,990	759,990	759,990	759,990
Total policy liability	946,678	946,678	946,678	946,678	946,678	946,678
Year ended 2007						
Non-participating life business						
Individual business	597 829	597 829	597 829	597 829	597 829	597 829
Employee benefits business	-	-	-	-	-	-
Total policy liability	597 829	597 829	597 829	597 829	597 829	597 829

The above sensitivities are after taking into account the re-rating of premiums but before the impact of reinsurance. The impact of reinsurance is not material for the disclosed sensitivities.

Concentration risk

The Group writes a diverse mix of business, and continually monitors this risk and the opportunities for mitigating actions through reinsurance. The Group's life insurance businesses are focused on different market segments, resulting in a mix of individual and institutional clients, as well as entry-level, middle market and high net worth clients.

Notes to the Financial Statements continued

For The Year Ended 31 December 2008

41. RISK MANAGEMENT (Continued)

(x) Insurance risk (Continued)

Claims risk (Continued)

The tables below provide an analysis of the Group's exposure to the value of benefits insured in respect of non-participating life business as well as the annuity payable per policy in respect of non-participating annuities:

Value of benefits insured: non-participating life business

	Number of lives		Before reinsurance		After reinsurance	
	2008	2007	2008	2007	2008	2007
Kshs '000						
0 - 500	280,044	305,368	183,033	153,865	179,209	150,650
500 - 1000	50,603	7,360	618,207	583,696	600,177	566,673
1 000 - 5000	80,694	41,779	1,687,129	1,079,156	1,057,726	676,564
5 000 - 8000	402	156	6,053,744	3,602,308	3,860,953	2,297,477
>8000	457	247	9,086,433	6,021,862	5,891,032	3,904,171
	412,200	354,910	17,628,547	11,440,886	11,589,097	7,595,534

Non-participating annuity payable per annum per life insured

	Number of lives		Before reinsurance		After reinsurance	
	2008	2007	2008	2007	2008	2007
Kshs '000						
0 - 20	0	0	0	0	0	0
20 - 40	0	0	0	0	0	0
40 - 60	1	0	52,644	0	52,644	0
60 - 80	4	0	274,128	0	274,128	0
80 - 100	1	0	83,064	0	83,064	0
>100	50	0	21,400,140	0	21,400,140	0
	56	0	21,809,976	0	21,809,976	0

y) Capital adequacy risk

Refer to the capital management section on page 40 for details on the management of the Group's capital base.

All subsidiaries of Pan Africa Insurance Holdings Limited were adequately capitalised, with CAR covered by the excess of assets over liabilities.



Notes to the Financial Statements continued

For The Year Ended 31 December 2008

Notes to the Financial Statements continued

For The Year Ended 31 December 2008



Notes to the Financial Statements continued

For The Year Ended 31 December 2008



About us, Mission & Vision

About us

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Our Mission

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Our Vision

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